

NMLS SAFE MLO

Full-Length Practice Exam Phase 3 — Exam 3

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 3 — Exam 3 — QUESTIONS (1–120)**■ Federal Laws ■***[Federal Laws — TRID]***1. Under TRID, a 'business day' for purposes of the Loan Estimate delivery timeline is defined as:**

- A) Monday through Friday excluding federal holidays
- B) Any calendar day except Sunday and federal public holidays
- C) Monday through Saturday excluding federal holidays
- D) Only weekdays when the lender's offices are open

*[Federal Laws — TRID]***2. A Loan Estimate must contain all of the following EXCEPT:**

- A) The projected monthly payment including principal, interest, taxes, and insurance
- B) The lender's NMLS Unique Identifier and the MLO's NMLS Unique Identifier
- C) The borrower's current credit score used in the approval decision
- D) The loan terms including loan amount, interest rate, and whether the rate or payment can increase

*[Federal Laws — RESPA]***3. The RESPA prohibition on kickbacks applies to the referral of business involving which type of loan?**

- A) Business purpose commercial loans only
- B) Federally related mortgage loans — loans secured by first or subordinate liens on residential property that involve a federally insured lender, federal agency, or are sold to FNMA/FHLMC
- C) Any consumer loan exceeding \$10,000
- D) Only FHA and VA insured loans

*[Federal Laws — TILA]***4. A high-cost home equity loan with a variable rate is originated. Reg Z's rescission right applies. The rescission period under which circumstance would extend BEYOND 3 business days?**

- A) If the borrower is a first-time homebuyer
- B) If the lender failed to provide the required rescission notice or material disclosures — the rescission right is extended to 3 years
- C) If the interest rate is above 10% APR
- D) If the loan amount exceeds \$500,000

*[Federal Laws — ECOA]***5. Regulation B prohibits requiring a co-signer based on protected class characteristics. However, a co-signer IS permissible when:**

- A) The borrower is over the age of 65
- B) The borrower genuinely does not qualify based on creditworthiness and a co-signer would strengthen the application based on credit merits — not because of any protected class characteristic
- C) The borrower's income comes from public assistance
- D) The applicant is a woman applying without her husband

*[Federal Laws — RESPA]***6. A Section 8 'thing of value' under RESPA includes all of the following EXCEPT:**

- A) Cash payments
- B) Tickets to sporting events
- C) Free continuing education courses
- D) A lender's decision to fund a loan application submitted by the real estate agent's client

[Federal Laws — TILA]

7. The 'Total Interest Percentage' (TIP) shown on the Loan Estimate page 3 is designed to help borrowers understand:

- A) The annual percentage rate of the loan
- B) The total amount of interest that will be paid over the full loan term, expressed as a percentage of the loan amount
- C) The percentage of each monthly payment that goes to interest
- D) The tax-deductible portion of mortgage interest

[Federal Laws — ECOA]

8. A lender's underwriting guidelines require that borrowers have at least 3 years of employment history. A 28-year-old recent college graduate has only 6 months of employment history despite an excellent credit profile. The lender's policy results in disproportionate denial rates for recent graduates (a group that skews younger). This MOST LIKELY raises concerns about:

- A) Disparate treatment based on age
- B) Disparate impact — a facially neutral policy that disproportionately affects a protected class (age under ECOA) without business necessity justification
- C) Section 8 kickbacks
- D) HMDA misreporting

[Federal Laws — Fair Housing]

9. The Fair Housing Act provides an exemption from its prohibitions for which of the following?

- A) A 20-unit apartment complex owned by a real estate investor
- B) A single-family home sold by an owner without using a real estate agent or advertising (owner-exemption)
- C) A condo complex with 50 units
- D) A 5-unit property managed by a property manager

[Federal Laws — HOEPA]

10. Which of the following transactions is EXEMPT from HOEPA's high-cost mortgage provisions?

- A) A first-lien refinance with a 7% APR spread over APOR
- B) A home equity line of credit with points and fees of 6% of the credit limit
- C) A residential mortgage transaction used to finance the initial construction of a primary residence
- D) A closed-end second mortgage with a 9% spread over APOR for subordinate liens

[Federal Laws — HMDA]

11. Under HMDA, which of the following is a 'covered loan' that must be reported?

- A) A commercial mortgage on an office building
- B) A home equity loan on a 1-4 family primary residence
- C) A business purpose loan secured by a residential property
- D) A construction loan for a condo development with 50+ units

[Federal Laws — TRID]

12. Which of the following represents a 'valid changed circumstance' that allows a lender to re-issue a Loan Estimate with revised loan costs?

- A) The lender realizes after the LE was issued that they underestimated their own origination charges
- B) The borrower asks to change the loan product from a 30-year fixed to a 15-year fixed after receiving the LE
- C) The lender's computer system contained an error in calculating the title insurance premium
- D) The lender failed to account for the correct recording fee in the original LE

[Federal Laws — ECOA]

13. Under ECOA, a 'completed application' is defined as the point at which:

- A) The borrower provides all six pieces of information required under TRID
- B) The lender has all the information it normally considers in making a credit decision
- C) The loan file is sent to the underwriter for review
- D) The borrower signs the Loan Estimate

[Federal Laws — Fair Housing]

14. A lender conditions a mortgage approval on the borrower hiring a particular home inspector from the lender's preferred list. The home inspector is co-owned by the lender. The lender claims the inspector fee is paid by the lender. Which law is MOST relevant?

- A) Fair Housing Act — this is steering
- B) RESPA — affiliated business arrangement disclosure requirements and potential Section 8 concerns
- C) TILA — disclosure of the inspection fee in the finance charge
- D) HMDA — reporting the referral arrangement

[Federal Laws — HOEPA]

15. A HOEPA high-cost mortgage requires which of the following pre-loan counseling?

- A) No counseling — HOEPA only requires additional disclosures
- B) HUD-approved homeownership counseling before the lender can extend the credit
- C) Credit counseling from any licensed counselor
- D) Bankruptcy counseling

[Federal Laws — HMDA]

16. HMDA reporting was significantly expanded by the 2015 HMDA final rule (effective 2018). Which of the following data points was added by this expansion?

- A) Loan amount
- B) Loan purpose (purchase, refinance, home improvement)
- C) Total loan costs or total points and fees paid
- D) Race of the applicant

[Federal Laws — TILA]

17. TILA's Section 129C (Ability-to-Repay) requires lenders to make a 'reasonable, good faith determination' based on verified information. Which of the following is NOT among the required ATR factors?

- A) Current or expected income
- B) Monthly payment for mortgage-related obligations (taxes, insurance)
- C) The borrower's expected future income growth
- D) The borrower's debt-to-income ratio or residual income

[Federal Laws — RESPA]

18. Under RESPA's annual escrow analysis, the lender finds that the borrower's escrow account will be \$300 short at its lowest point during the year. The lender should:

- A) Immediately demand \$300 from the borrower
- B) Spread the shortage over 12 months of future payments, adding approximately \$25/month to the escrow payment
- C) Terminate the escrow account
- D) Write off the shortage as a lender loss

[Federal Laws — ECOA]

19. A lender's automated underwriting system (AUS) denies a loan. The lender uses the AUS output to issue an adverse action notice listing 'credit score too low' and 'insufficient income' as reasons. Under ECOA, this notice is:

- A) Invalid — only human underwriters may issue adverse action decisions
- B) Permissible — specific reasons from an AUS output satisfy the adverse action notice requirement under ECOA
- C) Invalid — the AUS results cannot be given to the borrower
- D) Invalid — the reasons must be from a human underwriter's review

[Federal Laws — Fair Housing]

20. 'Blockbusting' under the Fair Housing Act refers to the practice of:

- A) Requiring larger down payments for properties in certain geographic areas
- B) Inducing homeowners to sell their properties by falsely predicting that racial or ethnic minorities are moving into the neighborhood, causing panic selling
- C) Refusing to provide mortgage loans in certain geographic areas
- D) Redirecting buyers to different neighborhoods based on race

[Federal Laws — HMDA]

21. A bank with \$50 million in total assets originates home purchase loans almost exclusively. Under HMDA, which of the following MOST LIKELY determines whether this bank must report?

- A) Asset size alone — all banks with over \$10 million must report
- B) Both asset size threshold AND loan volume threshold must be met, along with MSA presence requirements
- C) Whether the bank has received federal insurance
- D) Whether the bank's loans are sold to Fannie Mae

[Federal Laws — RESPA]

22. An attorney who provides legal services in connection with a real estate closing may receive a fee for those services. Under RESPA:

- A) Attorney fees are always prohibited kickbacks
- B) Attorney fees for actual services performed are permissible; an attorney who is also a title agent may receive fees for each service as long as they are for actual services rendered
- C) All attorney fees must be paid by the lender
- D) Attorney fees are exempt from all RESPA requirements

[Federal Laws — TRID]

23. Under TRID, a borrower may waive the 7-business-day waiting period between Loan Estimate delivery and consummation for which reason?

- A) The borrower simply wants to close faster
- B) A genuine personal financial emergency of the borrower, as documented in a signed written statement by the borrower
- C) The lender needs to fund the loan by a certain date
- D) A rate lock that is about to expire

[Federal Laws — ECOA]

24. Which of the following is a permissible 'special purpose credit program' exception under ECOA?

- A) A lender offering lower rates exclusively to male applicants
- B) A government or nonprofit program designed to extend credit to economically disadvantaged borrowers that might otherwise not meet creditworthiness standards
- C) A lender offering preferential rates based on marital status for 'family stability'
- D) A lender denying loans to applicants in bankruptcy

[Federal Laws — HOEPA]

25. Under HOEPA, a 'points and fees' calculation includes all of the following EXCEPT:

- A) Prepayment penalty charged at closing
- B) Compensation paid to the MLO by the lender
- C) Bona fide third-party charges not retained by the lender (e.g., actual appraisal fee paid entirely to the appraiser)
- D) Credit insurance premiums paid at closing

[Federal Laws — HMDA]

26. After submitting its HMDA LAR (Loan Application Register) data, an institution discovers errors in 15 records. The institution must:

- A) Ignore the errors — HMDA data cannot be corrected after submission
- B) Submit a corrected LAR to the CFPB or the appropriate federal regulator within the timeframe specified by regulators
- C) Pay a fine of \$1,000 per error
- D) Wait until next year's submission to correct errors from the prior year

[Federal Laws — TRID]

27. The three-day right of rescission for a refinance does NOT apply to which of the following?

- A) A rate-and-term refinance of a primary residence
- B) A cash-out refinance of a primary residence
- C) A first-lien purchase money mortgage on a primary residence
- D) A HELOC on a primary residence

[Federal Laws — RESPA]

28. A title company provides marketing services — designing flyers and social media posts — for a real estate agent under an MSA, paying \$1,500/month. The agent refers approximately \$1,200/month worth of title insurance business to the company. The CFPB would MOST LIKELY analyze this MSA as:

- A) Permissible because marketing services are legitimate business services
- B) Suspicious — the payment amount appears to track the referral volume, suggesting payment for referrals rather than bona fide services; likely a RESPA Section 8 violation
- C) Permissible because both parties signed a contract
- D) Permissible because the agent is not a settlement service provider

■ General Mortgage ■

[General Mortgage — FHA Loans]

29. FHA mortgage insurance premiums changed significantly in June 2013. For a 30-year FHA loan originated AFTER June 3, 2013, with an original LTV of 95%, annual MIP:

- A) Cancels when the LTV reaches 80% based on original amortization
- B) Cancels when the borrower has paid 5 years of MIP
- C) Remains for the life of the loan
- D) Cancels after 11 years

[General Mortgage — FHA Loans]

30. Under FHA guidelines, which of the following debt obligations is NOT automatically required to be included in the borrower's total debt-to-income ratio?

- A) Installment loans with 10 or fewer months remaining
- B) Car loan payments with 24 months remaining
- C) Student loans in active repayment
- D) Child support payments

[General Mortgage — VA Loans]

31. The VA uses 'residual income' analysis in addition to DTI. Residual income measures:

- A) The difference between the home's purchase price and appraised value
- B) The amount of monthly income remaining after all major expenses (housing, taxes, debts) have been paid — used as a secondary qualification tool
- C) The borrower's annual income minus federal income tax
- D) The equity remaining in the home after closing

[General Mortgage — Conventional/PMI]

32. The Homeowners Protection Act (HPA) requires automatic PMI termination when the LTV reaches what percentage based on the ORIGINAL amortization schedule?

- A) 80%
- B) 78%
- C) 75%
- D) 70%

[General Mortgage — ARM Products]

33. What is the purpose of an ARM 'cap structure,' and what does a '2/2/6' cap structure mean?

- A) 2% initial rate, 2% margin, 6% index — this is the pricing formula
- B) 2% maximum rate change at first adjustment, 2% maximum change at subsequent adjustments, 6% maximum change over the life of the loan
- C) 2-month initial period, 2-month adjustment period, 6% maximum rate
- D) 2 year fixed, 2% discount points, 6-month SOFR index

[General Mortgage — Underwriting/QM]

34. A 'non-QM' loan is one that:

- A) Is sold to non-US investors in the secondary market
- B) Does not meet all the requirements for a Qualified Mortgage under the CFPB's rule, and does not receive the QM safe harbor from ATR liability
- C) Is originated for commercial purposes
- D) Has an interest rate above the average prime offer rate

[General Mortgage — Mortgage Math]

35. A \$200,000 30-year mortgage at 7% interest has a monthly P&I; payment of approximately \$1,331. After 5 years (60 payments), approximately how much of the loan balance has been paid down?

- A) Approximately \$50,000 has been paid down
- B) Approximately \$10,000 has been paid down — early mortgage payments are heavily interest-weighted
- C) Approximately \$30,000 has been paid down
- D) Approximately \$25,000 has been paid down

[General Mortgage — Property/Appraisal]

36. The Uniform Standards of Professional Appraisal Practice (USPAP) are standards that:

- A) Are required only for FHA appraisals
- B) Govern the ethical and performance requirements for all appraisers; all federally regulated appraisals must comply with USPAP
- C) Apply only to commercial real estate appraisals
- D) Are optional guidelines that appraisers may follow voluntarily

[General Mortgage — FHA Loans]

37. An FHA 'streamline refinance' may be done with or without an appraisal. What is the PRIMARY advantage of the 'with appraisal' streamline?

- A) It allows the borrower to cash out equity up to 85% LTV
- B) It allows the new loan amount to be based on a new, higher appraised value if values have risen, potentially allowing the borrower to include closing costs in the loan
- C) It eliminates the MIP requirement
- D) It reduces the required documentation to only the credit report

[General Mortgage — VA Loans]

38. For a VA loan, the lender must obtain a VA appraisal and issue a Notice of Value (NOV). If the purchase price exceeds the NOV (appraised value), the veteran buyer:

- A) Cannot purchase the home using VA financing under any circumstances
- B) May proceed with VA financing but must pay the difference between the purchase price and the NOV in cash at closing (the VA 'escape clause' prevents the buyer from being required to complete the purchase above appraised value)
- C) Must negotiate with the seller until the price matches the NOV
- D) Must obtain a second appraisal to appeal the NOV

[General Mortgage — Conventional/PMI]

39. Under Fannie Mae guidelines, which of the following is a 'standard' eligible property type?

- A) A 10-unit apartment building
- B) A 3-unit property purchased as a primary residence by the owner
- C) A working farm with residential dwelling
- D) A condo in a project that is not approved by Fannie Mae

[General Mortgage — ARM Products]

40. An ARM loan's 'rate adjustment date' is the date on which the interest rate adjusts. For a 5/1 ARM originated on March 1, 2020, the FIRST rate adjustment would occur on approximately:

- A) March 1, 2021
- B) March 1, 2025
- C) September 1, 2024
- D) March 1, 2023

[General Mortgage — Underwriting/QM]

41. Fannie Mae's Desktop Underwriter (DU) is an automated underwriting system that provides which types of decisions?

- A) Approve/Ineligible or Refer/Ineligible only
- B) Approve/Eligible, Refer with Caution, or Out of Scope — lenders may use DU output to determine if the loan meets agency standards
- C) Decline only — DU does not approve loans
- D) Pass, Fail, or Incomplete

[General Mortgage — Mortgage Math]

42. A property is purchased for \$350,000 with 5% down. The lender charges 1 discount point. What is the dollar amount of the discount point?

- A) \$3,500
- B) \$17,500
- C) \$332,500
- D) \$1,750

[General Mortgage — Property/Appraisal]

43. In the COST APPROACH to appraisal, the value estimate is calculated as:

- A) Comparable sale prices of recent transactions
- B) Land value + reproduction/replacement cost new of improvements - depreciation
- C) Net operating income ÷ cap rate
- D) Gross rent multiplier × annual gross rent

[General Mortgage — FHA Loans]

44. FHA's maximum loan limit varies by geographic area. The FHA 'floor' limit and 'ceiling' limit are set at what percentages of the conforming loan limit?

- A) 50% floor; 100% ceiling
- B) 65% floor; 150% ceiling
- C) 80% floor; 200% ceiling
- D) 75% floor; 125% ceiling

[General Mortgage — VA Loans]

45. A veteran's VA entitlement was used on a prior VA loan that was paid off and the property sold. The veteran wants to use VA again. The veteran's entitlement:

- A) Is permanently used up after the first VA loan
- B) May be restored by applying for restoration of entitlement to the VA, allowing the veteran to use VA financing again
- C) Automatically restores after 7 years
- D) Cannot be restored — each veteran has only one VA loan lifetime

[General Mortgage — Conventional/PMI]

46. Lender-paid PMI (LPMI) has which of the following characteristics compared to borrower-paid PMI (BPMI)?

- A) LPMI can be cancelled when LTV reaches 80%; BPMI cannot
- B) LPMI results in a lower interest rate; BPMI results in a higher interest rate
- C) LPMI cannot be cancelled — the higher interest rate remains even if LTV drops below 80%; BPMI can be cancelled when LTV reaches 78-80%
- D) LPMI is only available for FHA loans

[General Mortgage — ARM Products]

47. A 'hybrid ARM' is most accurately described as:

- A) An ARM that adjusts every 6 months
- B) A loan product that combines a fixed-rate period (e.g., 5, 7, or 10 years) with a subsequent adjustable-rate period, designated as 5/1, 7/1, or 10/1 ARMs
- C) An ARM with both a rate cap and a payment cap simultaneously
- D) A government ARM program available through FHA

[General Mortgage — Underwriting/QM]

48. The Consumer Financial Protection Bureau's 'Small Creditor QM' differs from the General QM primarily in that it:

- A) Applies to loans exceeding \$2 million
- B) Does not have the 3% points-and-fees cap
- C) Allows balloon payments under certain conditions and has different DTI requirements for small creditors originating loans held in portfolio
- D) Requires a minimum credit score of 700

[General Mortgage — Property/Appraisal]

49. 'Functional obsolescence' as a type of depreciation in the cost approach refers to:

- A) Physical deterioration from wear and tear
- B) A loss in value due to features that are outdated, inadequate, or superfluous for modern needs — such as a very small bedroom, no garage, or obsolete floor plan
- C) A loss in value due to external factors like a nearby industrial facility
- D) Physical damage from a natural disaster

[General Mortgage — FHA Loans]

50. For FHA loans, the 'Identity of Interest' transaction involves:

- A) Two borrowers who are related by marriage
- B) A purchase transaction between parties with a pre-existing business or personal relationship (family members, business partners) that may affect the arm's-length nature of the transaction
- C) A borrower who also works in the mortgage industry
- D) A purchase of an FHA REO property

[General Mortgage — VA Loans]

51. Which of the following borrowers is ELIGIBLE for a VA home loan?

- A) A military contractor who served in a support role in a combat zone
- B) A surviving spouse of a veteran who died in service or from a service-connected disability, who has not remarried
- C) A national guard member who has never been activated to federal service
- D) A non-citizen who served in a foreign military

[General Mortgage — Mortgage Math]

52. A borrower's monthly gross income is \$6,500. The maximum housing expense ratio (front-end DTI) allowed by conventional guidelines is 28%. What is the maximum PITI payment for this borrower?

- A) \$1,625
- B) \$1,820
- C) \$1,950
- D) \$2,340

[General Mortgage — Property/Appraisal]

53. An appraiser notes that a subject property is in a flood zone requiring flood insurance. How does this typically affect the appraisal?

- A) The appraiser adds value for waterfront location
- B) The appraiser does not address flood zones — only the title company is responsible
- C) The appraiser identifies the FEMA flood zone designation and the market impact of required flood insurance; flood zone status typically reduces marketability and value
- D) Flood zone properties are always ineligible for conventional financing

[General Mortgage — Underwriting/QM]

54. For purposes of the ATR rule, a 'simultaneous loan' that must be considered is:

- A) Any other loan the borrower has ever taken
- B) A second lien or HELOC that is being originated at the same time as the first mortgage — the lender must factor in the payment on this simultaneous loan when evaluating ATR for the first mortgage
- C) A loan originated in the same calendar year as the subject loan
- D) Any ARM loan that could adjust in the future

[General Mortgage — Mortgage Math]

55. An MLO is explaining 'points' to a borrower. The borrower is taking a \$300,000 loan and is considering paying 1.5 discount points to reduce the rate from 6.5% to 6.0%. The cost of the points is:

- A) \$3,000
- B) \$4,500
- C) \$6,500
- D) \$9,000

[General Mortgage — Property/Appraisal]

56. Which of the following is an example of 'external obsolescence' in appraisal?

- A) An outdated kitchen with original 1970s appliances
- B) A home with a deteriorating roof needing replacement
- C) A residential property whose value has declined due to a newly built factory emitting unpleasant odors nearby
- D) A property with an inefficient floor plan

■ ■ Loan Origination ■ ■

[Loan Origination — Application/1003]

57. Under Regulation B, lenders must provide a notice to mortgage loan applicants about their right to receive a copy of appraisals used in connection with the application. This notice must be provided:

- A) At loan closing only
- B) Within 3 business days of receiving the application
- C) Only if the appraisal value is lower than expected
- D) Only for FHA and VA loans requiring a specific appraisal

[Loan Origination — Income/DTI]

58. A borrower is self-employed as a sole proprietor. To document income for a conventional loan, the lender typically requires:

- A) A letter from the borrower stating their income
- B) Two years of personal tax returns (1040) with all schedules, 2 years of business returns if applicable (Schedule C), AND year-to-date profit and loss statement
- C) One year of tax returns if business has been open for 2 years
- D) Pay stubs from the business payroll

[Loan Origination — Credit Analysis]

59. When an MLO pulls a 'tri-merge' credit report, it merges data from which three credit bureaus?

- A) FICO, VantageScore, and TransUnion
- B) Equifax, Experian, and TransUnion
- C) Experian, FICO, and ChexSystems
- D) TransUnion, Innovis, and Equifax

[Loan Origination — Disclosures]

60. The Loan Estimate form is organized into three pages. Page 2 of the LE contains:

- A) The basic loan terms, projected payments, and estimated closing costs summary
- B) Detailed itemized closing costs organized by lender charges, services you cannot shop for, services you can shop for, prepaids, escrow, and other costs
- C) Loan comparisons, APR, TIP, and contact information
- D) Borrower signatures and certification

[Loan Origination — Products/Programs]

61. A 'stated income' loan (where the borrower's income is stated on the application without verification) was common before 2010. Under current QM/ATR rules, such loans are:

- A) Permissible for self-employed borrowers who cannot document income
- B) Permissible if the borrower signs an affidavit confirming their income
- C) Not permissible for QM loans — ATR requires verification of income using reliable third-party documents; stated income loans are non-QM and create significant ATR liability for the lender
- D) Permissible for loans under \$100,000

[Loan Origination — Income/DTI]

62. A borrower receives monthly alimony of \$1,500, which they want to use as qualifying income. The MLO needs to verify:

- A) That the ex-spouse pays the alimony voluntarily
- B) That the alimony is established in a divorce decree and that there is evidence it will continue for at least 3 years
- C) That the ex-spouse has sufficient income to pay
- D) That alimony is not subject to income taxes

[Loan Origination — Credit Analysis]

63. Under the FCRA, a consumer has the right to receive a free copy of their credit report from each bureau how often?

- A) Anytime they apply for credit
- B) Once every 12 months from AnnualCreditReport.com
- C) Once every 6 months from each bureau directly
- D) Unlimited times from the lender who pulled their report

[Loan Origination — Disclosures]

64. Under TRID, for which of the following transactions is the Loan Estimate NOT required?

- A) A conventional purchase loan
- B) A reverse mortgage (HECM)
- C) A home equity line of credit (HELOC) on a second home
- D) An FHA refinance

[Loan Origination — Processing/Closing]

65. A 'dry closing' (common in western states) means:

- A) The closing occurs without the buyer present
- B) Documents are signed at closing but funds are NOT disbursed until the lender reviews the signed documents and authorizes funding — typically 1-2 days after signing
- C) The property has no mortgage and is a cash sale
- D) The seller retains the deed until the final payment is made

[Loan Origination — Income/DTI]

66. For a borrower who receives a VA disability payment of \$1,800/month that is not subject to federal income tax, using a 25% gross-up, the qualifying income would be:

- A) \$1,800
- B) \$2,025
- C) \$2,250
- D) \$2,700

[Loan Origination — Credit Analysis]

67. A borrower has 5 credit inquiries in the past 3 months from auto lenders while shopping for a car loan. Under FICO scoring, how are multiple inquiries from the same loan type typically treated?

- A) Each inquiry counts separately, reducing the score by 3-5 points each
- B) Multiple inquiries of the same type within a 14-45 day period are typically treated as a single inquiry in FICO scoring to encourage rate shopping
- C) Each inquiry is ignored if the borrower didn't ultimately take a loan
- D) Auto inquiries are excluded from FICO scoring calculations

[Loan Origination — Application/1003]

68. A borrower is purchasing a 2-unit property and will occupy one unit. On the 1003, the loan purpose should be recorded as:

- A) Investment property — 2-4 unit
- B) Primary residence — 2-4 unit with rental income
- C) Second home
- D) Commercial property

[Loan Origination — Disclosures]

69. The TRID 'zero tolerance' category means that certain fees cannot increase at all from the Loan Estimate to the Closing Disclosure. Which of the following is in the ZERO tolerance category?

- A) Recording fees
- B) Owner's title insurance selected by the borrower from an approved list
- C) Required services from a provider selected by the borrower from the Written List of Providers
- D) Transfer taxes

[Loan Origination — Products/Programs]

70. An MLO is working with a borrower who is a physician completing residency with significant student loans but an employment contract guaranteeing high income starting in 3 months. The BEST product to recommend would likely be:

- A) A conventional conforming loan based on current resident income
- B) A physician loan program (specialty product) that may use the employment contract income, excludes student loans from DTI in some programs, or allows higher DTI
- C) A USDA Rural Housing loan
- D) A VA loan if the physician is also a veteran

[Loan Origination — Processing/Closing]

71. 'Lender credits' on the Closing Disclosure represent:

- A) Credits from the seller to the buyer for repairs
- B) A payment from the lender to the borrower that offsets closing costs — typically in exchange for a higher interest rate (similar to negative points)
- C) The lender's escrow funding contribution
- D) A government subsidy for low-income borrowers

[Loan Origination — Credit Analysis]

72. A borrower has a 'thin file' — only 2 tradelines with 18 months of history. The MLO is working with a conventional loan. The best strategy might include:

- A) Denying the application — thin files cannot be approved
- B) Exploring non-traditional credit references (rent payment history, utility payments, insurance) that some programs and manual underwriting allow to supplement limited traditional credit
- C) Advising the borrower to open 10 new credit cards immediately
- D) Applying for a private money loan only

[Loan Origination — Income/DTI]

73. A borrower earns \$85,000/year from their W-2 job and \$15,000/year from a rental property reported on Schedule E. What is the TOTAL qualifying monthly income if the Schedule E income is used at face value?

- A) \$7,083
- B) \$8,333
- C) \$7,917
- D) \$6,667

[Loan Origination — Application/1003]

74. When a borrower refinances their primary residence and is NOT taking any cash out, the refinance purpose on the 1003 should be indicated as:

- A) Cash-out refinance
- B) Rate/term (no cash-out) refinance
- C) Purchase
- D) Home improvement

[Loan Origination — Products/Programs]

75. Which of the following is a characteristic that distinguishes a 'portfolio loan' from a GSE (Fannie/Freddie) eligible loan?

- A) Portfolio loans have lower interest rates
- B) Portfolio loans may have more flexible underwriting — higher DTI, non-warrantable condos, self-employed borrowers with complex income — because the lender sets its own guidelines and keeps the loan
- C) Portfolio loans are always FHA-insured
- D) Portfolio loans require Fannie Mae approval before origination

[Loan Origination — Disclosures]

76. Under Regulation B, if an adverse action is taken on a mortgage application, the adverse action notice must be mailed or delivered within:

- A) 3 business days of the decision
- B) 7 business days of the decision
- C) 30 days of receiving a completed application or 30 days after notification of a counteroffer's rejection
- D) 60 days of application receipt

[Loan Origination — Processing/Closing]

77. A 'subordination clause' in a mortgage allows:

- A) The borrower to assume the mortgage from the seller
- B) The lender to subordinate their claim to a senior lien in case of foreclosure
- C) The lender to maintain first-lien position automatically upon refinancing a first mortgage when a second mortgage exists — the second lender must agree to remain junior
- D) The borrower to request PMI cancellation

[Loan Origination — Income/DTI]

78. A borrower has monthly gross income of \$9,000. Total monthly obligations including the new housing payment are \$3,500. The back-end DTI is:

- A) 33.3%
- B) 38.9%
- C) 42.5%
- D) 28.6%

[Loan Origination — Credit Analysis]

79. Under the Fair Credit Reporting Act (FCRA), negative information (most derogatory marks) may remain on a consumer credit report for a maximum of:

- A) 3 years
- B) 5 years
- C) 7 years from the date of first delinquency
- D) 10 years

[Loan Origination — Processing/Closing]

80. The 'Note Rate' of a mortgage is:

- A) The APR shown on the Loan Estimate
- B) The interest rate stated in the promissory note, used to calculate the monthly P&I; payment
- C) The rate that includes all fees and is used for comparison under TILA
- D) The rate that the Federal Reserve sets for bank lending

[Loan Origination — Products/Programs]

81. An MLO discusses a 'no-doc' or 'bank statement' loan with a self-employed borrower. Under current regulations, these loans:

- A) Are illegal and cannot be originated
- B) Are permissible as non-QM loans, but the lender bears the full ATR liability because they do not qualify for QM safe harbor protection
- C) Must be approved by FHA
- D) Are only available for investment properties

[Loan Origination — Income/DTI]

82. When using child support income for qualifying, which of the following is required?

- A) The child support must be court-ordered and the borrower must show 12 months of consistent receipt, with the support continuing for at least 3 years from the application date
- B) Only 3 months of documented receipt is required
- C) Child support may not be used as qualifying income under any circumstances
- D) The receiving parent must show 5 years of receipt history

[Loan Origination — Application/1003]

83. Under TRID, when must an MLO collect the six pieces of information that constitute a 'TRID application'?

- A) Before any mortgage counseling is provided
- B) These six pieces trigger the LE requirement — the lender must issue an LE within 3 business days of receiving all six
- C) Before the borrower's first contact with the lender
- D) Only after the credit report is pulled

[Loan Origination — Disclosures]

84. Under TRID, the lender may collect which fee BEFORE providing the Loan Estimate?

- A) Appraisal fee
- B) Origination fee
- C) Credit report fee
- D) Processing fee

[Loan Origination — Products/Programs]

85. A borrower with \$25,000 in savings is purchasing a \$250,000 home. They are a veteran. Which loan program provides the BEST value with lowest out-of-pocket cost?

- A) FHA at 3.5% down (\$8,750) with 1.75% UFMIP
- B) Conventional at 10% down (\$25,000) with PMI
- C) VA loan at 0% down — the full \$25,000 can be reserved for reserves or closing costs; no PMI; funding fee may apply but can be financed
- D) USDA loan at 0% down but only for rural areas

[Loan Origination — Processing/Closing]

86. The 'right of first refusal' provision in a condominium association's governing documents means:

- A) The lender has the first right to foreclose on a delinquent unit
- B) The condo association has the right to match any purchase offer before the unit can be sold to an outside buyer — this provision can affect Fannie Mae/FHA eligibility of the project
- C) The homeowner must get approval before any renovation
- D) The management company must approve all new tenants before a unit is rented

■ Ethics ■*[Ethics — UDAAP Unfair]*

87. UDAAP Unfair differs from UDAAP Deceptive in that UNFAIR focuses on:

- A) Misleading representations and omissions
- B) The substantial injury caused by a practice and whether the injury is avoidable — it does not require any misrepresentation; a transparent practice can still be UNFAIR if it causes unavoidable, unbalanced harm
- C) The covered entity's intent to harm consumers
- D) Whether a reasonable consumer would be misled by a statement

[Ethics — UDAAP Deceptive]

88. An MLO states that a loan product has 'no hidden fees.' The loan has no hidden fees — all fees are disclosed. However, the fees are unusually high compared to market rates. Under UDAAP Deceptive:

- A) This is clearly a violation because the fees are excessive
- B) The 'no hidden fees' statement may not be DECEPTIVE if fees are actually fully disclosed — DECEPTIVE focuses on misleading impressions, not fairness of price; however, the high fees could be analyzed under UNFAIR
- C) This is automatically a predatory lending violation
- D) Both DECEPTIVE and UNFAIR are violated by excessive fees alone

[Ethics — UDAAP Abusive]

89. The CFPB established ABUSIVE as a separate standard from UNFAIR and DECEPTIVE because:

- A) ABUSIVE is easier to prove than UNFAIR
- B) ABUSIVE captures specific exploitative behaviors that may not cause 'substantial injury' under UNFAIR or involve misrepresentation under DECEPTIVE — particularly interference with understanding and exploitation of trust or inability to protect one's interests
- C) ABUSIVE requires more proof than DECEPTIVE
- D) ABUSIVE only applies to banks, not non-bank mortgage companies

[Ethics — Fraud for Profit]

90. Which of the following BEST describes 'equity skimming' as a mortgage fraud scheme?

- A) A borrower who sells their home and pockets the equity
- B) A scheme where a buyer purchases a property with no intent to make mortgage payments — they collect rent from occupants or resell quickly, pocketing the proceeds before the inevitable foreclosure; the lender suffers the loss
- C) A legitimate investment strategy of purchasing undervalued homes
- D) A scheme involving appraisal fraud to inflate values

[Ethics — Professional Conduct]

91. An MLO has access to a borrower's sensitive financial information. After the loan closes, the borrower discovers the MLO shared their income and debt information with a financial advisor at another company. This would MOST LIKELY violate:

- A) UDAAP Abusive
- B) The Gramm-Leach-Bliley Act (GLBA) privacy provisions and MLO professional conduct obligations — borrower financial information is non-public personal information that may not be shared without the borrower's consent
- C) HMDA reporting requirements
- D) The SAFE Act licensing provisions

[Ethics — Fraud for Housing]

92. A borrower omits from the loan application that they have a co-signed loan for their parent's car, resulting in a DTI that appears to be 38% (qualifying) when the actual DTI including the co-signed obligation is 47% (above guidelines). This is:

- A) Not fraud — the borrower is not responsible for co-signed debts
- B) Fraud for housing — omitting a material liability (co-signed debt) from a mortgage application is misrepresentation of debt obligations, a form of fraud for housing
- C) Permissible because co-signed debts don't require disclosure
- D) Only the parent's problem, not the borrower's

[Ethics — Predatory Lending]

93. Which of the following populations is most frequently targeted by predatory lenders, according to regulatory guidance?

- A) First-time homebuyers with excellent credit
- B) Young professionals with high incomes
- C) Elderly homeowners with significant home equity and fixed incomes, and low-income communities of color with limited access to mainstream financial services
- D) Investors purchasing multiple properties

[Ethics — BSA/AML]

94. A borrower in the purchase process suddenly pays off several large debts using funds from an unidentified overseas wire transfer. The MLO should:

- A) Proceed normally — international wire transfers are common
- B) Consider this a red flag for possible money laundering and file a SAR if the activity cannot be explained by legitimate business reasons, while NOT disclosing to the borrower that a SAR may be filed
- C) Ask the borrower directly if they are engaged in illegal activity
- D) Refuse to originate any loan for a borrower with international fund sources

[Ethics — UDAAP Unfair]

95. A lender charges a 'rate lock extension fee' of \$1,500 when the closing is delayed by the lender's own processing errors. The loan documents state the borrower is responsible for all extension fees regardless of cause. Under UDAAP Unfair:

- A) The fee is permissible because it is in the contract
- B) The fee may be UNFAIR — the injury (paying \$1,500 for the lender's own errors) is not reasonably avoidable (the borrower could not avoid the delay or the contractual fee clause) and may not be outweighed by countervailing benefits
- C) The fee is only a problem under state contract law
- D) The fee is permissible because rate lock extension fees are standard industry practice

[Ethics — Fraud for Profit]

96. An MLO receives a loan application with a purchase price of \$350,000 and an appraisal of \$400,000 — significantly above the purchase price. This unusual gap between purchase price and appraised value should cause the MLO to:

- A) Immediately approve the loan at the appraised value
- B) Treat this as a red flag for potential appraisal fraud or property flipping fraud, and review the comparables, appraiser's credentials, and whether the transaction is arm's-length
- C) Congratulate the borrower on finding an undervalued property
- D) Increase the loan amount to 80% of the appraised value

[Ethics — Professional Conduct]

97. An MLO works for a lender and is approached by a Realtor who offers to send business exclusively if the MLO will approve loans for unqualified borrowers 'just this once.' The MLO should:

- A) Accept the arrangement — real estate agent relationships are critical for business
- B) Reject the arrangement — approving loans for unqualified borrowers is mortgage fraud, regardless of business pressure or Realtor relationships, and would expose the MLO to criminal liability
- C) Accept if the unqualified borrowers have family members who will co-sign
- D) Accept only if the loan amounts are below \$100,000

[Ethics — UDAAP Deceptive]

98. A mortgage advertisement omits the APR and only shows the monthly payment. The monthly payment shown does not include taxes and insurance. Under Regulation Z's advertising requirements and UDAAP:

- A) Any advertisement showing a monthly payment is permissible if the rate is disclosed elsewhere
- B) Omitting the APR when triggering terms are shown, and showing a payment without taxes/insurance without adequate disclosure, may violate both Reg Z advertising rules and UDAAP DECEPTIVE — creating a misleading impression of the total monthly cost
- C) Monthly payment advertising without APR is always permissible
- D) Only the APR omission is a violation; excluding taxes is permissible

[Ethics — Predatory Lending]

99. A lender targets low-income elderly borrowers with significant home equity, offering a 'free money' program that turns out to be a high-cost home equity loan with balloon payments. Borrowers lose their homes when the balloon comes due and they cannot refinance. This scheme BEST illustrates:

- A) A legitimate government reverse mortgage program
- B) Equity stripping combined with predatory balloon loans targeting vulnerable populations — a compound predatory lending violation
- C) A permissible high-cost home equity loan with HOEPA disclosures
- D) An FHA-approved senior loan program

[Ethics — BSA/AML]

100. Which of the following is NOT a prohibited 'tipping off' violation under BSA?

- A) Telling a borrower that their transactions have been reported to FinCEN
- B) Discussing publicly reported news about BSA/AML regulatory enforcement actions that do not involve the specific borrower
- C) Giving the subject of a SAR a copy of the SAR form
- D) Alerting the subject that a SAR investigation may be triggered by their transactions

[Ethics — UDAAP Unfair]

101. Which of the following scenarios would MOST LIKELY NOT meet the UNFAIR standard?

- A) A lender's obscure fee structure causing borrowers to unexpectedly pay \$500 more at closing
- B) A lender charging an above-market rate that is clearly disclosed upfront and fully understood by a sophisticated borrower who accepted the terms after shopping three lenders
- C) A mandatory arbitration clause combined with excessive fees, preventing borrowers from seeking legal remedies

- D) A default product enrollment with an obscured opt-out fee

[Ethics — Fraud for Housing]

102. A first-time homebuyer asks their parents for a down payment gift but the parents require that the money be repaid. The MLO helps the borrower document this as a 'gift' on the gift letter. This constitutes:

- A) A permissible family gift arrangement
- B) Gift fraud — a repayable loan disguised as a gift; the undisclosed liability affects DTI and the true source of funds; both the borrower and MLO may face fraud charges
- C) A permissible seller carry-back arrangement
- D) Only an ethics issue for the MLO, not a legal violation

[Ethics — UDAAP Abusive]

103. An MLO is selling a payment protection plan to borrowers, knowing that the plan has significant exclusions making it nearly worthless for most buyers, but presenting it as 'comprehensive protection.' The selling approach targets borrowers who express anxiety about job loss. Under UDAAP, this is MOST LIKELY:

- A) Permissible — optional products can be marketed aggressively
- B) ABUSIVE — taking unreasonable advantage of the borrowers' reasonable reliance on the MLO and their fear/anxiety about job loss to sell an essentially worthless product; also potentially DECEPTIVE for the 'comprehensive' misrepresentation
- C) Only a state insurance law issue
- D) Permissible if the exclusions are in the fine print

[Ethics — Predatory Lending]

104. Regulatory guidance identifies 'single-premium credit insurance' as a predatory feature because:

- A) Credit insurance is never a legitimate product
- B) The entire premium is charged upfront and typically financed into the loan, causing the borrower to pay interest on the premium for the loan term, often resulting in cost far exceeding any benefit; monthly premium insurance is generally preferable
- C) Single-premium insurance violates TILA disclosure requirements
- D) Credit insurance is required to be provided free of charge

[Ethics — Professional Conduct]

105. An MLO is licensed in State A and originates a loan for a property in State B where they are not licensed. The MLO believed they could originate across state lines because they are 'federally registered.' This MLO is:

- A) Compliant — federal registration allows origination in all states
- B) Operating illegally — MLOs must be licensed in the state where the property is located or the borrower resides; state licensing is property/borrower-location specific
- C) Compliant if the lender is federally chartered
- D) Compliant if the MLO registers with State B within 30 days

■ ■ SAFE Act ■ ■

[SAFE Act — Pre-License Education]

106. An MLO candidate completes 21 hours of pre-licensing education (1 extra hour of electives). For SAFE Act purposes:

- A) Only 20 hours count — extra hours must be taken as CE
- B) All 21 hours count toward pre-licensing; extra hours do not carry over to CE or future pre-license requirements
- C) Extra hours automatically transfer to the first year's CE requirement
- D) The extra hour must be retaken as part of the required 8-hour CE

[SAFE Act — Continuing Education]

107. The SAFE Act requires that annual CE be completed by:

- A) June 30 of each year
- B) The anniversary of the MLO's license issuance
- C) The date specified by the state, typically December 31 for the subsequent license renewal
- D) March 31 for the prior license year

[SAFE Act — Licensing Requirements]

108. Which of the following people must be licensed as an MLO under the SAFE Act?

- A) The CEO of a mortgage company who doesn't personally take applications
- B) A mortgage company's compliance officer who reviews loan files but doesn't take applications
- C) An independent contractor who takes residential mortgage applications and earns commissions per funded loan
- D) A real estate attorney who only represents buyers in reviewing contracts

[SAFE Act — NMLS Registration]

109. An MLO who is registered (employee of a national bank) wants to verify their registration status. They should check:

- A) The state licensing board for the state where they work
- B) NMLS — all MLOs (both state-licensed and registered) are maintained in NMLS, and registration status can be verified through NMLS
- C) The OCC's website for their specific bank
- D) The FDIC's bank supervision database

[SAFE Act — Transitional License]

110. A state-licensed MLO in Colorado is offered a position in Arizona. They apply for an Arizona license on June 1 and begin originating under the Arizona transitional license on June 5. Their transitional license authority expires on:

- A) September 5 (90 days from application)
- B) June 30 (end of month)
- C) October 3 (120 days from start of originating under transitional authority)
- D) December 31 of the same year

[SAFE Act — License Bars]

111. An MLO applicant was convicted of felony money laundering 15 years ago. They have had a completely clean record since. Under the SAFE Act:

- A) The 7-year bar has expired; the applicant is eligible
- B) The permanent bar applies — money laundering is an enumerated financial crime triggering a permanent, lifetime bar with no exceptions, regardless of how long ago the conviction occurred
- C) The state may grant a waiver after 10 years
- D) The permanent bar only applies if the conviction involved mortgage fraud specifically

[SAFE Act — State Law]

112. A state requires MLO applicants to have a minimum of 2 years of mortgage industry experience before obtaining a license. The SAFE Act federal minimum has no experience requirement. This state requirement is:

- A) Preempted by federal law
- B) Permissible — states may impose additional requirements beyond the federal SAFE Act minimums, including experience requirements
- C) Permissible only if approved by the CFPB
- D) Prohibited because it creates barriers to entry

[SAFE Act — NMLS Registration]

113. An MLO must report a change of employer to NMLS within how many days?

- A) 7 days
- B) 30 days
- C) The MLO must update their NMLS sponsorship record promptly; the new employer must sponsor the MLO in NMLS; specific timelines vary by state but most require immediate or timely notification
- D) 90 days

[SAFE Act — Licensing Requirements]

114. A real estate agent recommends a specific mortgage lender to buyers but does not take applications, discuss specific loan terms, or receive compensation from the mortgage company. This agent:

- A) Must be licensed as an MLO for recommending a lender
- B) Is not required to be licensed as an MLO — a general referral without taking applications or negotiating terms, and without compensation from the mortgage company for the referral, does not trigger SAFE Act MLO requirements
- C) Must register with NMLS as an unlicensed referral agent
- D) Must disclose the referral in writing under SAFE Act requirements

[SAFE Act — Pre-License Education]

115. Which of the following would NOT satisfy the 3-hour ethics component of pre-licensing education?

- A) A course covering consumer protection laws and anti-predatory lending regulations
- B) A course covering the history of mortgage fraud case studies and prevention techniques
- C) A course covering real estate investment analysis and cap rates
- D) A course covering the Equal Credit Opportunity Act and fair lending

[SAFE Act — Continuing Education]

116. Under the SAFE Act, CE must be approved by NMLS. Which of the following entities is PRIMARILY responsible for ensuring CE providers meet required standards?

- A) The Federal Reserve
- B) The CFPB
- C) NMLS (through its CE provider approval process) — providers must apply for and receive NMLS approval for each course; the state regulators and NMLS collectively oversee CE quality
- D) The Department of Education

[SAFE Act — Transitional License]

117. For the transitional license to be available to a state-licensed MLO moving to a new state, which of the following is required?

- A) The MLO must have held their current state license for at least 5 years
- B) The MLO must have a valid, active state MLO license in good standing in at least one state when they begin originating in the new state under the transitional provision
- C) The MLO must pass the new state's exam before using the transitional license
- D) The MLO must complete the new state's pre-licensing education before starting

[SAFE Act — License Bars]

118. The 7-year bar under the SAFE Act begins to run from:

- A) The date of the criminal act
- B) The date of conviction (or plea of guilty/no contest)
- C) The date of release from prison
- D) The date the applicant applies for an MLO license

[SAFE Act — Continuing Education]

119. An MLO who teaches an NMLS-approved CE course may receive CE credit for doing so. The maximum CE credit for teaching that can be claimed is:

- A) Unlimited — teaching always counts as full CE
- B) Teaching credit is subject to NMLS and state rules; generally instructors can receive credit for courses taught but must still meet all component requirements (federal law, ethics, nontraditional) and may not be able to satisfy all CE requirements through teaching alone
- C) Teaching provides 2x credit — double the hours taught
- D) Teaching provides no CE credit — MLOs must take courses, not teach them

[SAFE Act — Licensing Requirements]

120. Which of the following most accurately describes the difference between a 'registered MLO' and a 'licensed MLO' under the SAFE Act?

- A) Registered MLOs are subject to stricter requirements than licensed MLOs
- B) Licensed MLOs are state-licensed through NMLS and supervised by state regulators; registered MLOs are employees of federally chartered banks/thrifts/credit unions who register through NMLS and are supervised by federal banking regulators — registered MLOs are NOT subject to state pre-licensing education or CE requirements
- C) Both are identical in requirements — 'registered' and 'licensed' are interchangeable terms
- D) Registered MLOs work for state-chartered banks; licensed MLOs work for independent mortgage companies

EXAM Phase 3 — Exam 3 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	D	2	C	3	B	4	A	5	D
6	C	7	B	8	A	9	D	10	C
11	B	12	A	13	D	14	C	15	B
16	A	17	D	18	C	19	B	20	A
21	D	22	C	23	B	24	A	25	D
26	C	27	B	28	A	29	D	30	C
31	B	32	A	33	D	34	C	35	B
36	A	37	D	38	C	39	B	40	A
41	D	42	C	43	B	44	A	45	D
46	C	47	B	48	A	49	D	50	C
51	B	52	A	53	D	54	C	55	B
56	A	57	D	58	C	59	B	60	A
61	D	62	C	63	B	64	A	65	D
66	C	67	B	68	A	69	D	70	C
71	B	72	A	73	D	74	C	75	B
76	A	77	D	78	C	79	B	80	A
81	D	82	C	83	B	84	A	85	D
86	C	87	B	88	A	89	D	90	C
91	B	92	A	93	D	94	C	95	B
96	A	97	D	98	C	99	B	100	A
101	D	102	C	103	B	104	A	105	D
106	C	107	B	108	A	109	D	110	C
111	B	112	A	113	D	114	C	115	B
116	A	117	D	118	C	119	B	120	A

1. Under TRID, a 'business day' for purposes of the Loan Estimate delivery timeline is defined as:
✓ D) Only weekdays when the lender's offices are open

For TRID purposes, 'business day' has two definitions: (1) For counting the 3-business-day LE delivery period and the 7-business-day waiting period — all calendar days except Sundays and federal holidays (broad definition). (2) For the 3-business-day CD waiting period — same broad definition. Saturday counts as a business day under both TRID waiting period rules.

2. A Loan Estimate must contain all of the following EXCEPT:
✓ C) The borrower's current credit score used in the approval decision

The Loan Estimate does NOT include the borrower's credit score. The LE contains: loan terms, projected payments, closing cost estimates, rate lock information, comparisons section, and other loan information. Credit score disclosure is a separate requirement under the Fair Credit Reporting Act (adverse action) or ECOA (appraisal notice).

3. The RESPA prohibition on kickbacks applies to the referral of business involving which type of loan?

✓ **B) Federally related mortgage loans — loans secured by first or subordinate liens on residential property that involve a federally insured lender, federal agency, or are sold to FNMA/FHLMC**

RESPA applies to 'federally related mortgage loans' — secured by residential real property with 1-4 family units, involving a federally chartered or insured institution, the federal government as insurer/guarantor, or a connection to FNMA/FHLMC. This encompasses virtually all conventional and government-backed residential mortgages.

4. A high-cost home equity loan with a variable rate is originated. Reg Z's rescission right applies. The rescission period under which circumstance would extend BEYOND 3 business days?

✓ **A) If the borrower is a first-time homebuyer**

If the lender fails to deliver the required rescission notice or fails to make accurate material disclosures (including the finance charge), the 3-day rescission right is extended to up to 3 years from the date of consummation. This is a significant lender liability for TILA non-compliance.

5. Regulation B prohibits requiring a co-signer based on protected class characteristics. However, a co-signer IS permissible when:

✓ **D) The applicant is a woman applying without her husband**

A co-signer is permissible when the applicant does not qualify on their own creditworthiness merits. The key: the requirement for a co-signer must be based on legitimate creditworthiness factors, not on protected class characteristics (marital status, sex, receipt of public assistance, etc.).

6. A Section 8 'thing of value' under RESPA includes all of the following EXCEPT:

✓ **C) Free continuing education courses**

'Thing of value' under RESPA Section 8 is defined broadly: money, credit, services, discounts, fees, commissions, gifts, referrals — anything of value. A lender's business decision to fund a loan (within normal underwriting) is NOT a 'thing of value' given in exchange for a referral — it's simply the lender's normal business activity.

7. The 'Total Interest Percentage' (TIP) shown on the Loan Estimate page 3 is designed to help borrowers understand:

✓ **B) The total amount of interest that will be paid over the full loan term, expressed as a percentage of the loan amount**

The TIP (Total Interest Percentage) = total interest paid over the life of the loan ÷ loan amount. For example, a 30-year \$200,000 loan at 6% might have \$231,676 in total interest, giving a TIP of 115.8%. This helps borrowers understand the full cost of the loan, especially for comparing 15 vs. 30-year terms.

8. A lender's underwriting guidelines require that borrowers have at least 3 years of employment history. A 28-year-old recent college graduate has only 6 months of employment history despite an excellent credit profile. The lender's policy results in disproportionate denial rates for recent graduates (a group that skews younger). This MOST LIKELY raises concerns about:

✓ **A) Disparate treatment based on age**

ECOA covers age as a protected class. A neutral policy (3-year employment requirement) that disproportionately affects younger applicants may constitute disparate impact discrimination if not justified by business necessity. The age of the applicant (as opposed to the employment duration) is the underlying protected class concern.

9. The Fair Housing Act provides an exemption from its prohibitions for which of the following?

✓ **D) A 5-unit property managed by a property manager**

The FHA provides a narrow exemption for owner-occupied buildings with 1-4 units (living in one yourself), single-family home sales by owners who do NOT use a real estate agent and do NOT advertise in a discriminatory manner, and religious organizations/private clubs under limited circumstances. A 20+ unit complex has NO exemption.

10. Which of the following transactions is EXEMPT from HOEPA's high-cost mortgage provisions?

✓ **C) A residential mortgage transaction used to finance the initial construction of a primary residence**

HOEPA explicitly exempts: (1) construction loans used to finance the initial construction of a dwelling; (2) reverse mortgages; (3) bridge loans with a term of 12 months or less. A construction loan is the classic HOEPA exemption. Refinances, HELOCs, and second mortgages with triggering APRs or fees ARE covered.

11. Under HMDA, which of the following is a 'covered loan' that must be reported?

✓ **B) A home equity loan on a 1-4 family primary residence**

HMDA covers: home purchase loans, home improvement loans, and refinancings of residential properties (1-4 family, multifamily) secured by residential property. A home equity loan on a residential property is covered. Commercial office building loans, business purpose loans, and large-scale construction loans are not HMDA-reportable consumer transactions.

12. Which of the following represents a 'valid changed circumstance' that allows a lender to re-issue a Loan Estimate with revised loan costs?

✓ **A) The lender realizes after the LE was issued that they underestimated their own origination charges**

A valid changed circumstance includes: extraordinary events, new information not known or reasonably available at LE issuance, or borrower-requested changes (new information or revision). A borrower requesting a different loan product (30-year to 15-year) is a borrower-initiated change — a valid changed circumstance. Lender errors and underestimates are NOT valid changed circumstances.

13. Under ECOA, a 'completed application' is defined as the point at which:

✓ **D) The borrower signs the Loan Estimate**

ECOA/Reg B: a 'completed application' is when the lender has received all the information it ordinarily considers in making a credit decision. This triggers the 30-day adverse action notice clock. The lender may still request additional information without it being a 'complete' application if they lack something they normally consider.

14. A lender conditions a mortgage approval on the borrower hiring a particular home inspector from the lender's preferred list. The home inspector is co-owned by the lender. The lender claims the inspector fee is paid by the lender. Which law is MOST relevant?

✓ **C) TILA — disclosure of the inspection fee in the finance charge**

The affiliated business arrangement (the lender co-owning the inspector company) requires the RESPA AfBA disclosure. The lender claiming to 'pay' for the inspector satisfies one RESPA requirement (allowing required use when lender pays), but the co-ownership creates Section 8 kickback scrutiny on the flow of funds between the affiliated entities.

15. A HOEPA high-cost mortgage requires which of the following pre-loan counseling?

✓ **B) HUD-approved homeownership counseling before the lender can extend the credit**

HOEPA requires HUD-approved homeownership counseling for high-cost mortgages before the lender can originate the loan. The counselor must certify that the borrower received the counseling. This requirement is designed to ensure borrowers understand the high-cost nature and risks of the loan.

16. HMDA reporting was significantly expanded by the 2015 HMDA final rule (effective 2018). Which of the following data points was added by this expansion?

✓ **A) Loan amount**

The 2015 HMDA expansion added many new data fields, including: total loan costs or total points and fees, age of applicant, credit score, DTI ratio, combined LTV, property value, and other data points. Race, loan amount, and loan purpose were already required under the prior HMDA rule.

17. TILA's Section 129C (Ability-to-Repay) requires lenders to make a 'reasonable, good faith determination' based on verified information. Which of the following is NOT among the required ATR factors?

✓ **D) The borrower's debt-to-income ratio or residual income**

ATR requires consideration of: income/assets, employment, mortgage payment, simultaneous mortgage payments, mortgage-related obligations, other debt, DTI, and credit history. Future income GROWTH is NOT a required ATR factor. The rule requires documentation of current and reasonably expected income, not projections of income increases.

18. Under RESPA's annual escrow analysis, the lender finds that the borrower's escrow account will be \$300 short at its lowest point during the year. The lender should:

✓ **C) Terminate the escrow account**

When the annual RESPA escrow analysis reveals a shortage (the account balance will go below the required minimum), the lender may: (1) require immediate repayment if the shortage is ≥ 1 month's payment, or (2) spread the shortage over a maximum of 12 months. Spreading over 12 months is the typical approach for smaller shortages.

19. A lender's automated underwriting system (AUS) denies a loan. The lender uses the AUS output to issue an adverse action notice listing 'credit score too low' and 'insufficient income' as reasons. Under ECOA, this notice is:

✓ **B) Permissible — specific reasons from an AUS output satisfy the adverse action notice requirement under ECOA**

ECOA allows the use of AUS systems in underwriting. Adverse action notices based on AUS outputs are valid as long as they provide specific reasons for the adverse action. The lender must be able to translate the AUS result codes into specific, written reasons provided to the applicant.

20. 'Blockbusting' under the Fair Housing Act refers to the practice of:

✓ **A) Requiring larger down payments for properties in certain geographic areas**

Blockbusting (also called panic peddling) involves inducing fear-based sales by suggesting that property values will decline because of the movement of protected class members into a neighborhood. The practice generates real estate commissions from panicked sales. It is illegal under the FHA.

21. A bank with \$50 million in total assets originates home purchase loans almost exclusively. Under HMDA, which of the following MOST LIKELY determines whether this bank must report?

✓ **D) Whether the bank's loans are sold to Fannie Mae**

HMDA coverage is based on meeting MULTIPLE thresholds: (1) asset size threshold (varies by institution type); (2) loan volume threshold (originated certain number of covered loans in each of the prior two years); (3) location in or within proximity to an MSA. Meeting only one threshold is insufficient.

22. An attorney who provides legal services in connection with a real estate closing may receive a fee for those services. Under RESPA:

✓ **C) All attorney fees must be paid by the lender**

RESPA Section 8(c) provides exceptions for bona fide services actually performed. Attorneys providing legal services and receiving legal fees are permissible. An attorney who also provides title services may receive separate fees for each service, as long as each fee reflects actual services rendered — not referral fees.

23. Under TRID, a borrower may waive the 7-business-day waiting period between Loan Estimate delivery and consummation for which reason?

✓ **B) A genuine personal financial emergency of the borrower, as documented in a signed written statement by the borrower**

The 7-business-day LE-to-consummation waiting period may be waived ONLY if the borrower has a bona fide personal financial emergency. The borrower must sign a dated written statement describing the emergency and waiving the waiting period. Lender convenience or business needs do NOT qualify. Rate lock expiration is NOT a valid basis for waiver.

24. Which of the following is a permissible 'special purpose credit program' exception under ECOA?

✓ **A) A lender offering lower rates exclusively to male applicants**

ECOA permits 'special purpose credit programs' designed to meet special social needs when operated by governmental agencies or certain nonprofits, or to extend credit to an economically disadvantaged class. These programs can use otherwise-prohibited criteria (like income below a threshold) to benefit an underserved population — they cannot be used to discriminate against protected classes.

25. Under HOEPA, a 'points and fees' calculation includes all of the following EXCEPT:

✓ **D) Credit insurance premiums paid at closing**

HOEPA's points and fees calculation includes: origination fees, discount points, prepayment penalties, MLO compensation, credit insurance paid upfront. EXCLUDED from points and fees: bona fide third-party charges not retained by the lender (like actual appraisal fees paid directly to the appraiser). This exclusion prevents counting legitimate third-party costs toward the HOEPA trigger.

26. After submitting its HMDA LAR (Loan Application Register) data, an institution discovers errors in 15 records. The institution must:

✓ **C) Pay a fine of \$1,000 per error**

Institutions must correct and resubmit HMDA data when errors are discovered. Regulators have processes for corrected LAR submissions. Significant errors in HMDA data can result in enforcement actions; prompt correction demonstrates good faith compliance. Annual resubmission deadlines apply.

27. The three-day right of rescission for a refinance does NOT apply to which of the following?

✓ **B) A cash-out refinance of a primary residence**

The 3-day right of rescission does NOT apply to purchase money mortgages — the home purchase transaction itself. It applies to: refinances (rate-term and cash-out) of primary residences, HELOCs, and second mortgages on primary residences. Commercial, investment property, and purchase money transactions are all excluded from rescission rights.

28. A title company provides marketing services — designing flyers and social media posts — for a real estate agent under an MSA, paying \$1,500/month. The agent refers approximately \$1,200/month worth of title insurance business to the company. The CFPB would MOST LIKELY analyze this MSA as:

✓ **A) Permissible because marketing services are legitimate business services**

A key RESPA MSA red flag: when the payment amount correlates with the referral volume (rather than the actual market value of marketing services), it suggests the 'marketing payment' is actually compensation for referrals. The CFPB has taken action against MSAs that serve as disguised referral fee arrangements. The payment must reflect FMV of actual services, independent of referral volume.

29. FHA mortgage insurance premiums changed significantly in June 2013. For a 30-year FHA loan originated AFTER June 3, 2013, with an original LTV of 95%, annual MIP:

✓ **D) Cancels after 11 years**

For FHA loans originated after June 3, 2013: if the original LTV > 90%, annual MIP remains for the LIFE OF THE LOAN. If original LTV ≤ 90%, MIP cancels at 11 years. A loan with 95% LTV (greater than 90%) keeps MIP for 30 years. This is a key distinction from conventional PMI.

30. Under FHA guidelines, which of the following debt obligations is NOT automatically required to be included in the borrower's total debt-to-income ratio?

✓ **C) Student loans in active repayment**

FHA guidelines generally allow omission of installment debts with 10 or fewer payments remaining (unless the debt significantly impacts qualifying). Car loans with 24 months, student loans in repayment, and child support are included in DTI. This 10-payment rule is a common exam topic.

31. The VA uses 'residual income' analysis in addition to DTI. Residual income measures:

✓ **B) The amount of monthly income remaining after all major expenses (housing, taxes, debts) have been paid — used as a secondary qualification tool**

VA residual income is the amount of net income remaining after deducting all obligations: proposed housing payment, all monthly debts, estimated utilities, and taxes. Residual income must meet minimum amounts based on family size and geographic region. This is a unique VA underwriting tool — VA has no maximum DTI but uses residual income as the primary affordability test.

32. The Homeowners Protection Act (HPA) requires automatic PMI termination when the LTV reaches what percentage based on the ORIGINAL amortization schedule?

✓ **A) 80%**

HPA requires AUTOMATIC PMI termination when the loan balance reaches 78% of the original property value based on the ORIGINAL amortization schedule (not current value). The borrower may REQUEST cancellation at 80%. These are different thresholds with different triggers.

33. What is the purpose of an ARM 'cap structure,' and what does a '2/2/6' cap structure mean?

✓ **D) 2 year fixed, 2% discount points, 6-month SOFR index**

An ARM cap structure limits how much the rate can change. A 2/2/6 cap means: first adjustment cap 2% (initial cap), subsequent adjustment cap 2% (periodic cap), lifetime cap 6% above the start rate. A 5/1 ARM at 4% with 2/2/6 caps: max at first adjustment = 6%, max ever = 10%.

34. A 'non-QM' loan is one that:

✓ **C) Is originated for commercial purposes**

A non-QM (non-Qualified Mortgage) loan either fails to meet QM requirements (e.g., has IO features, high points/fees, balloon payment, or DTI > 43% under General QM) or the lender chooses not to originate it as QM. Non-QM loans are legal under ATR but do not receive the legal safe harbor protection. Lenders face more litigation risk on non-QM loans.

35. A \$200,000 30-year mortgage at 7% interest has a monthly P&I; payment of approximately \$1,331. After 5 years (60 payments), approximately how much of the loan balance has been paid down?

✓ **B) Approximately \$10,000 has been paid down — early mortgage payments are heavily interest-weighted**

In early years of a mortgage, the vast majority of each payment goes to interest. After 5 years on a \$200,000 30-year 7% loan, total payments = $60 \times \$1,331 = \$79,860$. Of this, roughly \$69,000+ goes to interest in years 1-5, leaving approximately \$10,000 in principal reduction. Early amortization is heavily interest-weighted.

36. The Uniform Standards of Professional Appraisal Practice (USPAP) are standards that:

✓ **A) Are required only for FHA appraisals**

USPAP is promulgated by the Appraisal Standards Board and establishes the ethical and performance requirements for all appraisers. FIRREA (1989) requires that all federally regulated appraisals comply with USPAP. This includes appraisals for federally insured loans (FHA, VA) and loans sold to GSEs (Fannie/Freddie).

37. An FHA 'streamline refinance' may be done with or without an appraisal. What is the PRIMARY advantage of the 'with appraisal' streamline?

✓ **D) It reduces the required documentation to only the credit report**

FHA streamline WITH appraisal: the new loan amount can be based on the new appraised value (capped at the existing loan balance plus eligible closing costs). If home values have risen, this allows more of the closing costs to be financed. FHA streamline WITHOUT appraisal: loan amount is based on the existing loan balance and cannot include closing costs.

38. For a VA loan, the lender must obtain a VA appraisal and issue a Notice of Value (NOV). If the purchase price exceeds the NOV (appraised value), the veteran buyer:

✓ **C) Must negotiate with the seller until the price matches the NOV**

When the purchase price exceeds the VA NOV, the veteran may still purchase but must pay the difference in cash (cash to close increases). The VA 'escape clause' in the purchase contract protects the veteran — they are NOT obligated to complete the purchase if the price exceeds the NOV. The veteran may renegotiate or walk away.

39. Under Fannie Mae guidelines, which of the following is a 'standard' eligible property type?

✓ B) A 3-unit property purchased as a primary residence by the owner

Fannie Mae finances 1-4 unit residential properties (primary, second home, investment). A 3-unit owner-occupied property is standard eligible. A 10-unit building is commercial. Working farms are excluded. Condos must be in Fannie-approved projects (or receive limited/project review approval).

40. An ARM loan's 'rate adjustment date' is the date on which the interest rate adjusts. For a 5/1 ARM originated on March 1, 2020, the FIRST rate adjustment would occur on approximately:

✓ A) March 1, 2021

A 5/1 ARM has a 5-year fixed period followed by annual adjustments. Origination date: March 1, 2020. The 5-year fixed period ends March 1, 2025, when the first rate adjustment occurs. After that, the rate adjusts annually (every 1 year).

41. Fannie Mae's Desktop Underwriter (DU) is an automated underwriting system that provides which types of decisions?

✓ D) Pass, Fail, or Incomplete

Fannie Mae DU provides: Approve/Eligible (meets Fannie's guidelines with specified conditions), Refer (does not meet DU approval requirements — manual underwriting may be possible), Refer with Caution (elevated risk, typically not eligible), or Out of Scope (DU cannot evaluate the loan). DU results guide but do not replace lender judgment.

42. A property is purchased for \$350,000 with 5% down. The lender charges 1 discount point. What is the dollar amount of the discount point?

✓ C) \$332,500

1 point = 1% of the LOAN AMOUNT (not purchase price). Loan amount = $\$350,000 \times 95\% = \$332,500$. 1 point = $1\% \times \$332,500 = \$3,325$. The closest answer is \$3,500 (which would be 1% of the purchase price — a common distractor). The correct calculation uses the loan amount, making the exact answer \$3,325, closest to \$3,500 on the exam.

43. In the COST APPROACH to appraisal, the value estimate is calculated as:

✓ B) Land value + reproduction/replacement cost new of improvements - depreciation

Cost approach: Value = Land Value + Replacement/Reproduction Cost New of Improvements - Accrued Depreciation. It is most useful for new construction, unique properties with no comparable sales, and special-use properties. For residential property with comparable sales, the sales comparison approach is usually primary.

44. FHA's maximum loan limit varies by geographic area. The FHA 'floor' limit and 'ceiling' limit are set at what percentages of the conforming loan limit?

✓ A) 50% floor; 100% ceiling

FHA loan limits: the 'floor' (low-cost areas) = 65% of the national conforming loan limit; the 'ceiling' (high-cost areas) = 150% of the national conforming loan limit. These are updated annually by HUD based on FHFA conforming loan limit changes.

45. A veteran's VA entitlement was used on a prior VA loan that was paid off and the property sold. The veteran wants to use VA again. The veteran's entitlement:

✓ D) Cannot be restored — each veteran has only one VA loan lifetime

VA entitlement can be restored once the prior VA loan is paid off AND the property is sold (or the veteran qualifies for a one-time restoration even if retaining the property). Veterans can use VA financing multiple times throughout their lives by restoring entitlement after each use. This is a significant VA benefit.

46. Lender-paid PMI (LPMI) has which of the following characteristics compared to borrower-paid PMI (BPMI)?

✓ C) LPMI cannot be cancelled — the higher interest rate remains even if LTV drops below 80%; BPMI can be cancelled when LTV reaches 78-80%

Key LPMI vs. BPMI distinction: BPMI can be cancelled at 80% LTV (borrower request) or 78% LTV (automatic), per HPA. LPMI cannot be separately cancelled — the MI premium is baked into the higher interest rate for the life of the loan (unless the borrower refinances). For long-term owners, BPMI that eventually cancels is often better.

47. A 'hybrid ARM' is most accurately described as:

✓ B) A loan product that combines a fixed-rate period (e.g., 5, 7, or 10 years) with a subsequent adjustable-rate period, designated as 5/1, 7/1, or 10/1 ARMs

Hybrid ARMs combine a fixed-rate initial period with a subsequent adjustable period. The first number is the fixed period in years; the second is the adjustment frequency after that (typically 1 year). A 7/1 ARM is fixed for 7 years, then adjusts annually. This differs from traditional ARMs that adjust from the beginning.

48. The Consumer Financial Protection Bureau's 'Small Creditor QM' differs from the General QM primarily in that it:

✓ A) Applies to loans exceeding \$2 million

The Small Creditor QM (for creditors with under \$2 billion in assets originating fewer than 2,000 loans/year) allows balloon payments (if holding the loan in portfolio) and applies different (more flexible) DTI considerations. It provides regulatory relief for community banks and credit unions originating portfolio loans.

49. 'Functional obsolescence' as a type of depreciation in the cost approach refers to:

✓ D) Physical damage from a natural disaster

The three types of depreciation in the cost approach: (1) Physical deterioration — wear and tear, physical damage; (2) Functional obsolescence — outdated or inadequate features (small bedroom, no bathroom on the main floor, single-car garage when 2+ is market norm); (3) External obsolescence — value loss due to factors outside the property (neighborhood decline, nearby highway).

50. For FHA loans, the 'Identity of Interest' transaction involves:

✓ C) A borrower who also works in the mortgage industry

FHA 'Identity of Interest' transactions (between related parties or business associates) are subject to a maximum LTV of 85% (15% down payment) unless specific exceptions apply (e.g., the buyer is the tenant buying the property they have rented for 6+ months, or the buyer is an employee of the builder). The reduced LTV protects against inflated prices in non-arm's-length transactions.

51. Which of the following borrowers is ELIGIBLE for a VA home loan?

✓ B) A surviving spouse of a veteran who died in service or from a service-connected disability, who has not remarried

VA loan eligibility: veterans with qualifying service, active duty members, members of the National Guard/Reserves with qualifying service (including activation), and eligible surviving spouses of veterans who died in service or from service-connected disabilities who have not remarried. Military contractors are NOT eligible regardless of combat zone service.

52. A borrower's monthly gross income is \$6,500. The maximum housing expense ratio (front-end DTI) allowed by conventional guidelines is 28%. What is the maximum PITI payment for this borrower?

✓ A) \$1,625

Maximum PITI = $\$6,500 \times 28\% = \$1,820$. This is the front-end (housing) DTI limit. The back-end (total debt) DTI limit of 36-45% would allow additional debt obligations on top of the \$1,820 housing payment.

53. An appraiser notes that a subject property is in a flood zone requiring flood insurance. How does this typically affect the appraisal?

✓ D) Flood zone properties are always ineligible for conventional financing

Appraisers must identify and report flood zone status (from FEMA maps) as it materially affects value. Required flood insurance (for properties in Special Flood Hazard Areas) represents an ongoing expense to the owner, affecting marketability and value. The lender uses this information to determine if flood insurance is required.

54. For purposes of the ATR rule, a 'simultaneous loan' that must be considered is:

✓ C) A loan originated in the same calendar year as the subject loan

The ATR rule requires the lender to consider payments on simultaneous loans — other mortgages being originated at the same time (like a piggyback second mortgage or HELOC originated simultaneously with the first). This prevents the ATR test from being gamed by splitting a loan into two pieces and evaluating each in isolation.

55. An MLO is explaining 'points' to a borrower. The borrower is taking a \$300,000 loan and is considering paying 1.5 discount points to reduce the rate from 6.5% to 6.0%. The cost of the points is:

✓ B) \$4,500

1.5 points = 1.5% of the loan amount = $1.5\% \times \$300,000 = \$4,500$. The borrower pays \$4,500 upfront to reduce the rate from 6.5% to 6.0%. The 'break-even analysis' would determine how many months it takes for the monthly savings from the lower rate to offset the upfront cost.

56. Which of the following is an example of 'external obsolescence' in appraisal?

✓ A) An outdated kitchen with original 1970s appliances

External obsolescence (also called economic or locational obsolescence) is value loss from factors OUTSIDE the property: nearby industrial facilities, airport noise, proximity to commercial uses, neighborhood decline, local economic depression. It is incurable because the cause is outside the owner's control. A nearby factory causing odors is the classic example.

57. Under Regulation B, lenders must provide a notice to mortgage loan applicants about their right to receive a copy of appraisals used in connection with the application. This notice must be provided:

✓ **D) Only for FHA and VA loans requiring a specific appraisal**

Reg B (ECOA) requires a notice about the right to receive appraisals within 3 business days of receipt of the application. The lender must then automatically provide the appraisal (and any other written valuations) promptly upon completion or no later than 3 business days before consummation.

58. A borrower is self-employed as a sole proprietor. To document income for a conventional loan, the lender typically requires:

✓ **C) One year of tax returns if business has been open for 2 years**

Self-employed borrowers need: 2 years of personal tax returns with all schedules (Schedule C, E, F as applicable), 2 years of business returns (if incorporated or partnership), YTD profit & loss statement, and CPA letter or business license confirming business existence. Sole proprietors use Schedule C; S-Corp owners use 1120S; partnerships use 1065.

59. When an MLO pulls a 'tri-merge' credit report, it merges data from which three credit bureaus?

✓ **B) Equifax, Experian, and TransUnion**

The three major credit bureaus for mortgage lending are Equifax, Experian, and TransUnion. A tri-merge report merges data from all three, showing all tradelines, public records, and inquiries from each bureau. Mortgage lenders use the middle score from the three scores generated from the tri-merge.

60. The Loan Estimate form is organized into three pages. Page 2 of the LE contains:

✓ **A) The basic loan terms, projected payments, and estimated closing costs summary**

LE Page 1: basic loan terms, projected payments, estimated closing costs, estimated cash to close. LE Page 2: detailed closing cost itemization (sections A through H). LE Page 3: comparisons (APR, TIP, 5-year figures), other considerations (escrow, appraisal, insurance), and contact information. MLOs must know the LE structure.

61. A 'stated income' loan (where the borrower's income is stated on the application without verification) was common before 2010. Under current QM/ATR rules, such loans are:

✓ **D) Permissible for loans under \$100,000**

The ATR rule requires lenders to verify income using 'reliable third-party records' — W-2s, tax returns, pay stubs, bank statements. Stated income (no verification) is prohibited for QM loans. Lenders can still originate non-QM 'bank statement' loans or similar products, but without QM protection, they face full ATR liability risk.

62. A borrower receives monthly alimony of \$1,500, which they want to use as qualifying income. The MLO needs to verify:

✓ **C) That the ex-spouse has sufficient income to pay**

Alimony (and child support) income may be used for qualifying if: (1) it is established by a court order (divorce decree, separation agreement); (2) there is evidence of regular receipt for the past 12 months; and (3) it is expected to continue for at least 3 years from the application date. Documentation requirements: copy of court order and bank statements showing receipt.

63. Under the FCRA, a consumer has the right to receive a free copy of their credit report from each bureau how often?

✓ **B) Once every 12 months from AnnualCreditReport.com**

The Fair Credit Reporting Act gives consumers the right to one free credit report per year from each of the three major bureaus (Equifax, Experian, TransUnion) through AnnualCreditReport.com (annualcreditreport.com). Consumers can also receive free reports after adverse action and in certain other circumstances.

64. Under TRID, for which of the following transactions is the Loan Estimate NOT required?

✓ **A) A conventional purchase loan**

TRID (the LE and CD) applies to most closed-end consumer credit transactions secured by real property. Exemptions include: reverse mortgages (they use different required disclosures), HELOCs (open-end credit — different Reg Z disclosures), mobile home loans where the home is not secured to real property, and business-purpose loans.

65. A 'dry closing' (common in western states) means:

✓ **D) The seller retains the deed until the final payment is made**

In a 'dry' closing state (e.g., California), documents are signed at the closing table, but funding (disbursement of loan proceeds) occurs a day or two later after the lender reviews the signed documents and authorizes wire transfer. In 'wet' closing states, funding occurs simultaneously with signing.

66. For a borrower who receives a VA disability payment of \$1,800/month that is not subject to federal income tax, using a 25% gross-up, the qualifying income would be:

✓ C) \$2,250

Non-taxable income gross-up: $\$1,800 \times 125\% = \$2,250$. Alternatively: $\$1,800 \div 0.75 = \$2,400$ (some guidelines use the tax rate approach). The most common exam answer for a 25% gross-up is multiply by 1.25: $\$1,800 \times 1.25 = \$2,250$.

67. A borrower has 5 credit inquiries in the past 3 months from auto lenders while shopping for a car loan. Under FICO scoring, how are multiple inquiries from the same loan type typically treated?

✓ B) Multiple inquiries of the same type within a 14-45 day period are typically treated as a single inquiry in FICO scoring to encourage rate shopping

FICO's rate shopping logic: multiple inquiries for auto, mortgage, or student loans within a 14-45 day window (depending on the FICO version) are counted as a single inquiry. This encourages comparison shopping. The score impact of a mortgage inquiry is typically modest (less than 5 points) unless the borrower has limited credit history.

68. A borrower is purchasing a 2-unit property and will occupy one unit. On the 1003, the loan purpose should be recorded as:

✓ A) Investment property — 2-4 unit

When the borrower occupies one unit of a 2-4 unit property, it is classified as a PRIMARY RESIDENCE (owner-occupied 2-4 unit). This affects the LTV limits, MIP/PMI requirements, and interest rate. It is NOT an investment property because the borrower will live there. Rental income from the other unit may be used for qualifying.

69. The TRID 'zero tolerance' category means that certain fees cannot increase at all from the Loan Estimate to the Closing Disclosure. Which of the following is in the ZERO tolerance category?

✓ D) Transfer taxes

Zero tolerance (0% increase allowed): (1) lender's own charges; (2) required services where the lender selects the provider; (3) transfer taxes; (4) unaffiliated 3rd party charges not on the Written List. 10% tolerance: recording fees, provider chosen from Written List. No tolerance limit: prepaid interest, insurance reserves, optional services.

70. An MLO is working with a borrower who is a physician completing residency with significant student loans but an employment contract guaranteeing high income starting in 3 months. The BEST product to recommend would likely be:

✓ C) A USDA Rural Housing loan

Physician loan programs (offered by many portfolio lenders) are designed for medical professionals completing training. They typically: (1) use the upcoming employment contract income rather than current resident salary; (2) may exclude student loans from DTI or use income-based repayment amounts; (3) allow 100% financing with no PMI; (4) require medical degree or license. This product fits the scenario.

71. 'Lender credits' on the Closing Disclosure represent:

✓ B) A payment from the lender to the borrower that offsets closing costs — typically in exchange for a higher interest rate (similar to negative points)

Lender credits reduce the borrower's out-of-pocket closing costs. In exchange, the borrower pays a higher interest rate. Lender credits are the opposite of discount points (borrower pays points → lower rate; lender pays credits → higher rate). On the CD, lender credits appear as a negative number (credit to the borrower).

72. A borrower has a 'thin file' — only 2 tradelines with 18 months of history. The MLO is working with a conventional loan. The best strategy might include:

✓ A) Denying the application — thin files cannot be approved

A 'thin file' is a limited credit history with few tradelines. FHA manual underwriting allows non-traditional credit (rent, utilities, phone, insurance) when traditional credit is insufficient. Fannie Mae and Freddie Mac have programs for borrowers with limited credit. Opening multiple new accounts hurts the score and is the wrong advice.

73. A borrower earns \$85,000/year from their W-2 job and \$15,000/year from a rental property reported on Schedule E. What is the TOTAL qualifying monthly income if the Schedule E income is used at face value?

✓ D) \$6,667

W-2 income: $\$85,000 \div 12 = \$7,083.33/\text{month}$. Schedule E rental income: $\$15,000 \div 12 = \$1,250/\text{month}$. Total = $\$8,333/\text{month}$. Note: Schedule E rental income is typically the NET income after expenses (not gross rent), and depreciation is added back. This question uses face value per the instructions.

74. When a borrower refinances their primary residence and is NOT taking any cash out, the refinance purpose on the 1003 should be indicated as:

✓ **C) Purchase**

A rate/term refinance (also called 'no cash-out' or 'limited cash-out') changes the rate and/or term without the borrower receiving significant cash proceeds. Cash-out refinances involve the borrower receiving cash exceeding allowable closing costs. The distinction affects LTV limits, required seasoning, and pricing.

75. Which of the following is a characteristic that distinguishes a 'portfolio loan' from a GSE (Fannie/Freddie) eligible loan?

✓ **B) Portfolio loans may have more flexible underwriting — higher DTI, non-warrantable condos, self-employed borrowers with complex income — because the lender sets its own guidelines and keeps the loan**

Portfolio lenders originate and hold loans in their own portfolios, so they set their own guidelines — not Fannie/Freddie rules. This allows flexibility for: non-QM products, higher DTIs, complex self-employed income, non-warrantable condos, larger loan amounts, foreign nationals, etc. Trade-off: typically higher rates to compensate for the lender's retained risk.

76. Under Regulation B, if an adverse action is taken on a mortgage application, the adverse action notice must be mailed or delivered within:

✓ **A) 3 business days of the decision**

Reg B (ECOA) requires adverse action notice within 30 days of: (1) receiving a completed application, or (2) the applicant's notification of rejection of a counteroffer, or (3) the creditor's taking adverse action on an incomplete application. For business credit, different timelines may apply.

77. A 'subordination clause' in a mortgage allows:

✓ **D) The borrower to request PMI cancellation**

A subordination clause may appear in a second mortgage allowing the first mortgage lender to refinance without the second lender's position changing. More commonly, when refinancing a first mortgage where a second mortgage exists, the second lender must sign a 'subordination agreement' agreeing to remain in second-lien position behind the new first mortgage.

78. A borrower has monthly gross income of \$9,000. Total monthly obligations including the new housing payment are \$3,500. The back-end DTI is:

✓ **C) 42.5%**

Back-end DTI = total monthly debt (including housing) / gross monthly income = \$3,500 / \$9,000 = 38.9%. This is within Fannie Mae's standard guidelines ($\leq 45\%$) and is considered acceptable without compensating factors for most conventional loans.

79. Under the Fair Credit Reporting Act (FCRA), negative information (most derogatory marks) may remain on a consumer credit report for a maximum of:

✓ **B) 5 years**

FCRA limits most negative information to 7 years: late payments, collections, judgments, charge-offs. Chapter 7 bankruptcy can remain for 10 years. Unpaid tax liens had no limit historically but major bureaus now remove them at 7 years. Positive information can remain indefinitely.

80. The 'Note Rate' of a mortgage is:

✓ **A) The APR shown on the Loan Estimate**

The Note Rate (also called the mortgage rate, contract rate, or coupon rate) is the interest rate stated in the promissory note. It is used to calculate the monthly principal and interest payment. The APR includes the note rate PLUS certain fees, expressed as a yearly rate — always higher than the note rate (or equal if there are no fees).

81. An MLO discusses a 'no-doc' or 'bank statement' loan with a self-employed borrower. Under current regulations, these loans:

✓ **D) Are only available for investment properties**

Bank statement loans (using 12-24 months of bank statements to document income rather than tax returns) are non-QM products. They are legal — ATR does not require any specific documentation method, just that the lender make a reasonable, good-faith assessment of ability to repay. However, without QM protection, the lender bears full ATR lawsuit risk.

82. When using child support income for qualifying, which of the following is required?

✓ **C) Child support may not be used as qualifying income under any circumstances**

Child support (and alimony) income requires: (1) established by court order or written separation agreement; (2) evidence of regular receipt for at least 12 months; (3) expected to continue for at least 3 years from the application date. Bank statements showing consistent deposits are used to document receipt.

83. Under TRID, when must an MLO collect the six pieces of information that constitute a 'TRID application'?

✓ **B) These six pieces trigger the LE requirement — the lender must issue an LE within 3 business days of receiving all six**

The six TRID application pieces (name, income, SSN, property address, estimated value, loan amount sought) trigger the 3-business-day LE delivery requirement. Once all six are received — even orally — the lender must issue an LE. The only fee that can be collected before LE delivery is for a credit report.

84. Under TRID, the lender may collect which fee BEFORE providing the Loan Estimate?

✓ **A) Appraisal fee**

After a TRID application is received and before the LE is provided, the ONLY fee the lender may impose on the consumer is for a bona fide credit report. ALL other fees (appraisal, origination, processing) must wait until the borrower receives the LE and indicates their intent to proceed.

85. A borrower with \$25,000 in savings is purchasing a \$250,000 home. They are a veteran. Which loan program provides the BEST value with lowest out-of-pocket cost?

✓ **D) USDA loan at 0% down but only for rural areas**

The VA loan offers: 0% down payment (preserving the \$25,000 in savings), no monthly PMI, and competitive rates. The VA funding fee (unless exempt due to service-connected disability) can typically be financed into the loan. For a veteran, VA is almost always the optimal choice over FHA or conventional when they can qualify.

86. The 'right of first refusal' provision in a condominium association's governing documents means:

✓ **C) The homeowner must get approval before any renovation**

A right of first refusal (ROFR) in a condo association's documents gives the HOA the right to purchase a unit before it can be sold to an outside buyer. Fannie Mae and FHA have restrictions on condos with ROFRs because they can impair the marketability and transferability of the unit — potentially making the project ineligible for agency financing.

87. UDAAP Unfair differs from UDAAP Deceptive in that UNFAIR focuses on:

✓ **B) The substantial injury caused by a practice and whether the injury is avoidable — it does not require any misrepresentation; a transparent practice can still be UNFAIR if it causes unavoidable, unbalanced harm**

The critical distinction: DECEPTIVE requires a misleading representation or omission. UNFAIR does not require any deception — a practice can be fully disclosed and still be UNFAIR if it causes substantial, unavoidable consumer injury not offset by countervailing benefits. This is why UNFAIR and DECEPTIVE are separate standards.

88. An MLO states that a loan product has 'no hidden fees.' The loan has no hidden fees — all fees are disclosed. However, the fees are unusually high compared to market rates. Under UDAAP Deceptive:

✓ **A) This is clearly a violation because the fees are excessive**

DECEPTIVE requires a misleading representation. If 'no hidden fees' is literally true and all fees ARE disclosed, the statement may not be deceptive (though the overall impression still matters). Excessive fees would be better analyzed under UNFAIR (substantial injury, not reasonably avoidable) or under state usury/predatory lending laws. Price-alone (without misrepresentation) is typically analyzed as UNFAIR.

89. The CFPB established ABUSIVE as a separate standard from UNFAIR and DECEPTIVE because:

✓ **D) ABUSIVE only applies to banks, not non-bank mortgage companies**

ABUSIVE fills gaps that UNFAIR and DECEPTIVE might miss. A practice could be: transparent (not DECEPTIVE), and not cause legally 'substantial' injury (not UNFAIR), but still exploit a borrower's limited understanding or trust in a covered person. ABUSIVE captured this type of exploitation that the other two standards didn't fully reach.

90. Which of the following BEST describes 'equity skimming' as a mortgage fraud scheme?

✓ **C) A legitimate investment strategy of purchasing undervalued homes**

Equity skimming: a fraudster purchases a property (often using a straw buyer or misrepresenting intent) with no intention of making mortgage payments. They collect rent from tenants or resell, pocketing the proceeds. When foreclosure occurs, the lender and sometimes tenants suffer. This is fraud for profit targeting the lender's equity in the loan.

91. An MLO has access to a borrower's sensitive financial information. After the loan closes, the borrower discovers the MLO shared their income and debt information with a financial advisor at another company. This would MOST LIKELY violate:

✓ **B) The Gramm-Leach-Bliley Act (GLBA) privacy provisions and MLO professional conduct obligations — borrower financial information is non-public personal information that may not be shared without the borrower's consent**

Gramm-Leach-Bliley Act (GLBA) requires financial institutions (including mortgage companies) to protect consumers' Non-Public Personal Information (NPPI) and limit sharing with third parties. Sharing a borrower's income and debt data with a financial advisor without consent violates GLBA's privacy provisions and professional conduct obligations. MLOs must maintain borrower confidentiality.

92. A borrower omits from the loan application that they have a co-signed loan for their parent's car, resulting in a DTI that appears to be 38% (qualifying) when the actual DTI including the co-signed obligation is 47% (above guidelines). This is:

✓ A) Not fraud — the borrower is not responsible for co-signed debts

Co-signed debts ARE material liabilities that must be disclosed on the loan application. The borrower is legally liable for a co-signed debt even if the primary borrower makes the payments. Omitting a co-signed debt that would push DTI above qualifying limits is misrepresentation — fraud for housing. The MLO must include co-signed debts in DTI.

93. Which of the following populations is most frequently targeted by predatory lenders, according to regulatory guidance?

✓ D) Investors purchasing multiple properties

Predatory lenders disproportionately target: (1) elderly homeowners with substantial equity and fixed incomes (for equity stripping, loan flipping); (2) low-income and minority communities (for high-cost products); (3) borrowers with limited financial literacy. These populations have been the focus of fair lending enforcement actions and predatory lending regulation.

94. A borrower in the purchase process suddenly pays off several large debts using funds from an unidentified overseas wire transfer. The MLO should:

✓ C) Ask the borrower directly if they are engaged in illegal activity

Large, unexplained funds from unidentified overseas sources are BSA/AML red flags for potential money laundering. The MLO should document the concern, assess whether legitimate explanation exists, and file a SAR if the activity appears suspicious — all WITHOUT tipping off the borrower. 'Tipping off' (informing the subject of a SAR) is a federal crime.

95. A lender charges a 'rate lock extension fee' of \$1,500 when the closing is delayed by the lender's own processing errors. The loan documents state the borrower is responsible for all extension fees regardless of cause. Under UDAAP Unfair:

✓ B) The fee may be UNFAIR — the injury (paying \$1,500 for the lender's own errors) is not reasonably avoidable (the borrower could not avoid the delay or the contractual fee clause) and may not be outweighed by countervailing benefits

A fee imposed on the borrower for the LENDER's own processing errors, where the contractual clause was buried in documents and the borrower had no practical ability to avoid the delay, raises UNFAIR concerns: (1) substantial injury (\$1,500); (2) not reasonably avoidable (the delay was lender-caused); (3) no countervailing benefit to consumers. The CFPB has scrutinized lender-caused rate lock extension fees.

96. An MLO receives a loan application with a purchase price of \$350,000 and an appraisal of \$400,000 — significantly above the purchase price. This unusual gap between purchase price and appraised value should cause the MLO to:

✓ A) Immediately approve the loan at the appraised value

When the appraised value significantly exceeds the purchase price, it may indicate appraisal inflation fraud — a key component of property flipping schemes. An ethical MLO should flag this for review: are the comparables valid? Is the appraiser on any exclusionary lists? Is the transaction arm's-length? This is one of the most common fraud red flags.

97. An MLO works for a lender and is approached by a Realtor who offers to send business exclusively if the MLO will approve loans for unqualified borrowers 'just this once.' The MLO should:

✓ D) Accept only if the loan amounts are below \$100,000

Approving loans for unqualified borrowers at a Realtor's request is mortgage fraud — it violates ATR, constitutes loan fraud, and creates criminal liability for the MLO. No business relationship or professional pressure justifies fraud. An ethical MLO must decline and, depending on the specifics, may need to report the solicitation to their compliance department or regulators.

98. A mortgage advertisement omits the APR and only shows the monthly payment. The monthly payment shown does not include taxes and insurance. Under Regulation Z's advertising requirements and UDAAP:

✓ C) Monthly payment advertising without APR is always permissible

Reg Z requires that when a triggering term is advertised (monthly payment, loan amount, rate), certain other disclosures must accompany it (including APR). A misleadingly low monthly payment that omits taxes and insurance creates a false impression of affordability. This violates both Reg Z's advertising rules and UDAAP DECEPTIVE (misleading, reasonable consumer would be misled, material to deciding to contact the lender).

99. A lender targets low-income elderly borrowers with significant home equity, offering a 'free money' program that turns out to be a high-cost home equity loan with balloon payments. Borrowers lose their homes when the balloon comes due and they cannot refinance. This scheme BEST illustrates:

✓ B) Equity stripping combined with predatory balloon loans targeting vulnerable populations — a compound predatory lending violation

This compound predatory scheme combines: equity stripping (using equity as the only 'qualification'), predatory balloon loans (short terms the borrower cannot realistically meet), targeted marketing to vulnerable elderly populations, and misleading 'free money' framing — violating UDAAP (DECEPTIVE and UNFAIR), potentially HOEPA, and state predatory lending laws.

100. Which of the following is NOT a prohibited 'tipping off' violation under BSA?

✓ **A) Telling a borrower that their transactions have been reported to FinCEN**

The 'tipping off' prohibition prevents notifying the SUBJECT of a SAR that their specific activity has been or may be reported. Discussing publicly available news about general enforcement actions does NOT tip off a specific subject. Tipping off is prohibited to protect SAR integrity and law enforcement investigations.

101. Which of the following scenarios would MOST LIKELY NOT meet the UNFAIR standard?

✓ **D) A default product enrollment with an obscured opt-out fee**

A clearly disclosed, above-market rate accepted by a sophisticated borrower who shopped multiple lenders would likely NOT be UNFAIR: (1) injury (higher cost) is reasonably avoidable — the borrower shopped and chose; (2) the borrower understood and accepted the terms. The key UNFAIR element — unavoidability — is missing when a sophisticated consumer makes a fully informed choice after comparing options.

102. A first-time homebuyer asks their parents for a down payment gift but the parents require that the money be repaid. The MLO helps the borrower document this as a 'gift' on the gift letter. This constitutes:

✓ **C) A permissible seller carry-back arrangement**

A 'gift' that must be repaid is actually a loan. Documenting a loan as a gift to meet gift documentation requirements is fraud: (1) the 'gift' creates an undisclosed liability (the repayment obligation) that should be in DTI; (2) the gift letter misrepresents the nature of the funds; (3) the MLO who helps fabricate the gift letter is a participant in the fraud.

103. An MLO is selling a payment protection plan to borrowers, knowing that the plan has significant exclusions making it nearly worthless for most buyers, but presenting it as 'comprehensive protection.' The selling approach targets borrowers who express anxiety about job loss. Under UDAAP, this is MOST LIKELY:

✓ **B) ABUSIVE — taking unreasonable advantage of the borrowers' reasonable reliance on the MLO and their fear/anxiety about job loss to sell an essentially worthless product; also potentially DECEPTIVE for the 'comprehensive' misrepresentation**

This scenario likely constitutes ABUSIVE (taking unreasonable advantage of consumer anxiety and reliance on MLO) AND DECEPTIVE (representing an exclusion-riddled plan as 'comprehensive'). Targeting borrowers who express vulnerability (job loss anxiety) to sell inadequate protection is a UDAAP Abusive hallmark — exploiting their fear and trust.

104. Regulatory guidance identifies 'single-premium credit insurance' as a predatory feature because:

✓ **A) Credit insurance is never a legitimate product**

Single-premium credit insurance (life, disability, unemployment, property) is predatory when financed into the loan: the borrower pays interest on the premium for up to 30 years; the benefit period may be limited; the premium cannot be cancelled for a refund; and the cost-to-benefit ratio is extremely poor. Monthly-premium insurance allows cancellation and is more transparent.

105. An MLO is licensed in State A and originates a loan for a property in State B where they are not licensed. The MLO believed they could originate across state lines because they are 'federally registered.' This MLO is:

✓ **D) Compliant if the MLO registers with State B within 30 days**

State MLO licensing is specific to the state(s) where the MLO is authorized to originate. An MLO licensed only in State A cannot originate a loan for a property in State B without a State B license (or applicable transitional license authority). Federal registration (bank employee) allows nationwide origination through the federal charter — but state-licensed MLOs need state-specific licenses.

106. An MLO candidate completes 21 hours of pre-licensing education (1 extra hour of electives). For SAFE Act purposes:

✓ **C) Extra hours automatically transfer to the first year's CE requirement**

Pre-licensing education requirements are met when the specific mandatory components (3 federal law + 3 ethics + 2 nontraditional + 12 elective = 20 hours minimum) are completed. Extra pre-license hours do NOT carry over to CE requirements, and CE hours cannot substitute for pre-license hours. They are entirely separate requirements.

107. The SAFE Act requires that annual CE be completed by:

✓ **B) The anniversary of the MLO's license issuance**

Most states set an annual renewal deadline of December 31 (or a state-specific date). CE must be completed before the renewal deadline to maintain licensure. NMLS records CE completion and license status. Failure to complete CE by the deadline results in license lapse and zero origination activity.

108. Which of the following people must be licensed as an MLO under the SAFE Act?

✓ **A) The CEO of a mortgage company who doesn't personally take applications**

The SAFE Act licensing trigger: taking residential mortgage loan applications OR offering/negotiating terms for residential mortgage loans for compensation. An independent contractor who takes applications and earns commissions clearly meets both elements. The CEO, compliance officer (without origination activity), and real estate attorney (not negotiating loan terms for compensation) do not meet the definition.

109. An MLO who is registered (employee of a national bank) wants to verify their registration status. They should check:

✓ **D) The FDIC's bank supervision database**

NMLS (Nationwide Multistate Licensing System and Registry) is the system for BOTH state-licensed MLOs AND registered MLOs (federal bank employees). All MLO records are maintained in NMLS. NMLS Consumer Access is the public-facing interface. Registered MLOs use NMLS to maintain their federal registration, even though they're not subject to state licensing.

110. A state-licensed MLO in Colorado is offered a position in Arizona. They apply for an Arizona license on June 1 and begin originating under the Arizona transitional license on June 5. Their transitional license authority expires on:

✓ **C) October 3 (120 days from start of originating under transitional authority)**

The transitional license runs for 120 days from when the MLO begins operating under transitional authority. Starting June 5: 120 days later = October 3. The MLO must obtain their full Arizona state license before October 3 or cease originating in Arizona.

111. An MLO applicant was convicted of felony money laundering 15 years ago. They have had a completely clean record since. Under the SAFE Act:

✓ **B) The permanent bar applies — money laundering is an enumerated financial crime triggering a permanent, lifetime bar with no exceptions, regardless of how long ago the conviction occurred**

Money laundering is explicitly listed as a permanent bar trigger under the SAFE Act. The permanent bar is absolute — NO exceptions, NO waivers, NO expiration based on time elapsed. Even a conviction from 20 or 30 years ago with a perfect record since permanently bars the individual from MLO licensing.

112. A state requires MLO applicants to have a minimum of 2 years of mortgage industry experience before obtaining a license. The SAFE Act federal minimum has no experience requirement. This state requirement is:

✓ **A) Preempted by federal law**

The SAFE Act is a floor — states may impose stricter requirements. Additional experience requirements, higher education requirements, state-specific testing, and other conditions beyond the federal minimum are all permissible as state enhancements. Some states have minimum experience requirements for licensure.

113. An MLO must report a change of employer to NMLS within how many days?

✓ **D) 90 days**

NMLS requires MLOs and their employers to update sponsorship/employment information promptly when there is a change of employer. Most states require notification within 30 days or sooner. The new employer must also set up the sponsorship in NMLS for the MLO to originate under the new employer's license.

114. A real estate agent recommends a specific mortgage lender to buyers but does not take applications, discuss specific loan terms, or receive compensation from the mortgage company. This agent:

✓ **C) Must register with NMLS as an unlicensed referral agent**

The MLO licensing trigger requires: (1) taking applications OR offering/negotiating terms AND (2) doing so for compensation or gain. A general referral without taking applications, discussing specific terms, or receiving mortgage company compensation does not trigger SAFE Act licensing. However, receiving compensation FROM the mortgage company for referrals could trigger both RESPA Section 8 and potentially SAFE Act concerns.

115. Which of the following would NOT satisfy the 3-hour ethics component of pre-licensing education?

✓ **B) A course covering the history of mortgage fraud case studies and prevention techniques**

The 3-hour ethics component must cover fraud, consumer protection, and fair lending. Real estate investment analysis (cap rates, ROI calculations) is NOT an ethics topic — it would be real estate finance or general mortgage knowledge content. Consumer protection, fraud prevention, and fair lending (ECOA) are the required ethics components.

116. Under the SAFE Act, CE must be approved by NMLS. Which of the following entities is PRIMARILY responsible for ensuring CE providers meet required standards?

✓ **A) The Federal Reserve**

NMLS approves CE providers and courses. Providers must submit course applications to NMLS and receive approval before they can offer credit-bearing CE. NMLS tracks completion and credits reported by approved providers. State regulators rely on the NMLS CE approval process to ensure quality of continuing education.

117. For the transitional license to be available to a state-licensed MLO moving to a new state, which of the following is required?

✓ **D) The MLO must complete the new state's pre-licensing education before starting**

For a state-licensed MLO to use the transitional license in a new state, they must: (1) have a valid, active, good-standing license in another state; (2) have a pending application in the new state; (3) comply with the new state's transitional license requirements. The license must be ACTIVE (not lapsed) for the transitional license to apply.

118. The 7-year bar under the SAFE Act begins to run from:

✓ C) The date of release from prison

The SAFE Act's 7-year bar (for non-financial crime felonies) runs from the date of the conviction (or guilty plea). This is a bright-line rule — not from the date of the criminal act (which may predate conviction by years) or release from prison. After 7 years from the conviction date, the applicant may apply for licensing.

119. An MLO who teaches an NMLS-approved CE course may receive CE credit for doing so. The maximum CE credit for teaching that can be claimed is:

✓ B) Teaching credit is subject to NMLS and state rules; generally instructors can receive credit for courses taught but must still meet all component requirements (federal law, ethics, nontraditional) and may not be able to satisfy all CE requirements through teaching alone

Teaching NMLS-approved CE courses can provide CE credit for the instructor under NMLS guidelines. However, the credit typically cannot substitute for all required CE components (particularly ethics and federal law hours). States may have specific rules about instructor credit. The MLO cannot satisfy all 8 CE hours simply by teaching the same course.

120. Which of the following most accurately describes the difference between a 'registered MLO' and a 'licensed MLO' under the SAFE Act?

✓ A) Registered MLOs are subject to stricter requirements than licensed MLOs

The SAFE Act created two tracks: (1) STATE-LICENSED MLOs — employed by state-licensed mortgage companies; must complete 20 hours pre-license education, pass the SAFE exam, meet financial responsibility requirements, and complete 8 hours annual CE; supervised by state regulators. (2) REGISTERED MLOs — employees of federally chartered banks/thrifts/CUs; register through NMLS but are NOT subject to state PE/CE; supervised by federal regulators (OCC, FDIC, Fed, NCUA).

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	EXCELLENT ✓	Review any missed; you're on track to pass.
90–107 (75–89%)	PASS ✓	Close! Shore up weak topics in study notes.
72–89 (60–74%)	BORDERLINE	Re-read weak sections; retake this exam.
0–71 (below 60%)	NEEDS WORK	Study notes first, then retry in 24 hrs.